CITY OF GALLATIN, TENNESSEE

ANNUAL COMPREHENSIVE FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED
JUNE 30, 2021

Prepared by the City of Gallatin Finance Director

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C O N T E N T S

INTRODUCTORY SECTION

January 25, 2022

Honorable Mayor, City Council, and Citizens of the City of Gallatin,

State law requires that every general-purpose government publish a complete set of audited financial statements within six months of the close of each fiscal year. This report is published to fulfill that requirement for the fiscal year ended June 30, 2021. This report consists of management's representations concerning the finances of the City of Gallatin. To provide a reasonable basis for making these representations, management of the City of Gallatin has established a comprehensive internal control framework that is designed both to protect the city's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the City of Gallatin's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the City of Gallatin's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. Management assumes full responsibility for the completeness and reliability of all the information presented in this report.

The City of Gallatin's financial statements have been audited by Blankenship CPA Group, PLLC, a firm of licensed certified public accountants. The goal of the independent audit was to provide reasonable assurance that the financial statements of the City of Gallatin, for the fiscal year ended June 30, 2021, are presented fairly in all material aspects. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that the City of Gallatin's financial statements, for the fiscal year ended June 30, 2021, are fairly presented in all material aspects in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report. GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The City of Gallatin's MD&A can be found beginning on page 3, immediately following the report of the independent auditors.

PROFILE OF THE CITY OF GALLATIN

The City of Gallatin, population of 44,431, is located in Sumner County, Tennessee and is the county seat for Sumner County. It is approximately 30 miles northeast of downtown Nashville, and is served by numerous major highways including U.S. 31-E, State Route 386, State Route 109, and State Route 25. The City of Gallatin was founded in 1802, incorporated in 1954, and operates under the City Mayor/City Council form of government. The Municipality's legislative body is a seven member City Council that is elected, one each for 5 council districts and two at-large members. Each Councilmember is elected to a four-year alternating term with elections conducted every two years. The Mayor is chief administrative officer of the Municipality and presides at meetings of the Council.

The City of Gallatin provides a wide range of services which include police and fire protection, the construction and maintenance of highways, streets, and other infrastructure, sanitation services, recreational and cultural services, planning and zoning, and general administrative services. Additionally, the City owns and operates its water (16,506 customers), wastewater (14,058 customers), natural gas (16,551 customers), and electric (22,899 customers) systems. For very small, outlying populations, White House Utility District provides water service.

All of the City's Governmental funds are annually appropriated. The City Council is required to adopt a final budget by no later than the close of the fiscal year. This annual budget serves as the foundation for the City's financial planning and control. In February of each year, Department Heads submit their budget requests to the Mayor and Finance Director. The Mayor conducts departmental meetings in March of each year, and the Finance Director makes revenue estimates for the upcoming year. The budget is submitted to City Council in April. First reading of the Budget is usually in May, second reading is usually in May/June but no later than June 30, the close of the City's fiscal year. The budget is prepared by fund (i.e. general) and department (i.e. police). Department heads are authorized to expend funds within total departmental appropriations. However, amendments to the budget that change departmental and/or total appropriations require the adoption of an ordinance by the City Council. Budget transfers between departments require approval of the City Council. Budget to actual comparisons are provided in this report for each governmental fund for which an appropriated annual budget has been adopted.

LOCAL ECONOMY

The City of Gallatin is a growing residential and business community reaping the benefits of being in close proximity to Nashville, Tennessee with lower tax rates and low utility fees. The city, through the City Mayor, the Economic Development Agency and various other boards, works continually to improve the economic outlook for the future of Gallatin and its citizens. In 2017, the City of Gallatin adopted a strategic plan aiming future recruitment efforts towards technology and corporate/back office companies. Since that time, the city has had strong success in those areas, along with consistent growth of existing industries. Of note is the fact that since 2018, Personal Income in Gallatin has risen by $10,700, and Per Capita Income has risen by more than $6,450. This rapid increase in personal and per capita income coincides with the City's adoption of the strategic plan in 2017.

The local economy has been able to sustain stability and growth through the COVID pandemic, as evidenced by this financial report. Commercial and residential construction is strong. This calendar year alone the City has issued 749 new residential building permits. The population of the City of Gallatin has grown to an estimated 44,431 in 2021, per the U.S. Department of Census estimates, nearly double the population of the 2000 census. In addition to residential growth, the City is experiencing growth in the retail/services sector. Currently, there are six restaurants under construction with another three going through planning stages. Thousands of square feet of retail space have opened, including a second Publix Super Market. A third Publix is slated to open in early 2022. Construction will begin soon on three new hotels. All of this growth is reflected in our sales tax collections, which have surpassed projections.

LONG-TERM FINANCIAL PLANNING

In 2018, the City began developing a comprehensive long range plan, *Plan Gallatin,* for future growth and development of the city. Initial phases of the plan are completed while other phases of the plan continue to be developed. The City anticipates full adoption in spring 2022. Additionally, a formalized Capital Improvement Plan is being developed for use beginning early 2022. Until the plans are completed in totality, the City of Gallatin will continue with its practice of annually reviewing anticipated 5-year capital needs as defined by each department. These requests are then used to plan for long-term capital funding, whether it be pay-go or debt issues.

The City has numerous capital projects currently funded and under construction. Included are various city-wide infrastructure projects such as roads, streets, sidewalks, greenways, water lines, sewer lines, and gas lines. Many of these projects are being funded wholly or in part by Federal and State grants, including the Albert Gallatin Avenue extension. This project is the largest locally managed TDOT project, with a price tag of $36 million and is slated to open in spring 2022. Other capital projects underway include: equalization basin for heavy rainfall events; new water storage tanks; signal grant for synchronized signalization along major thoroughfares; two sidewalk grants; various roadway improvements; purchase of a new fire engine; purchase of heavy equipment for Streets and Stormwater departments; miscellaneous roadway and drainage projects; new utility line installation and existing line rehabilitation.

A 2021 series A water/sewer revenue bond was issued to fund numerous needs in addition to a 2021 series B refunding bond to take advantage of lower interest rate costs. Funds from the series A bond will be used to improve and expand infrastructure of the water and wastewater systems. The City of Gallatin will receive over $15,000,000 in federal American Recovery Plan Act funds in the next 2 years. City leaders are discussing the best uses of these funds to benefit the largest population of residents.

FINANCIAL POLICIES

The City is committed to protecting its taxpayers' funds. Management continues to take a very conservative approach to budgeting and spending in order to lessen the chance of a revenue shortage and mid-year program cuts. This approach will help finance contingencies and unforeseen budget amendments. The City of Gallatin recognizes the importance of a diversified revenue system, and strives to not rely too heavily on one source. Currently the city general fund revenue sources are approximately one-third sales tax, one-third property tax, and one-third all other revenues. The City routinely reviews its various rates and fees and considers inflation and current market rates. The City Council has formally adopted a Fund Balance Policy which indicates that it will maintain a minimum unassigned fund balance in the General Fund of 20% of operating expenditures. In FY 2022, the City approved to increase that amount to 25% of the operating expenditures. Additionally, the City has adopted a similar policy for enterprise funds. The City has a formally adopted Purchasing Policy, Internal Financial Controls Policy, Debt Management Policy, and Investment Policy which serve to further strengthen its overall fiduciary duties to the citizens of Gallatin.

AWARDS AND ACKNOWLEDGEMENTS

The preparation of this report on a timely basis could not have been accomplished without the dedicated services of the Finance department staff of the City of Gallatin. Credit must also be given to the City Mayor and City Council for their support of excellence in financial reporting and fiscal integrity. Also, the City is grateful to the staffs of Blankenship CPA Group, PLLC and Jobe, Hastings & Associates, CPA's for their invaluable guidance and assistance.

Respectfully Submitted,

Rachel Nichols

Rachel Nichols

Director of Finance

City of Gallatin | 132 West Main Street | Gallatin, TN 37066 | 615.451.5963

City of Gallatin, Tennessee
Directory
June 30, 2021

ELECTED OFFICIALS

Paige Brown, Mayor
Lynda Love, Council Member
William C. Hayes, Council Member
Steve Fann, Council Member
John D. Alexander, Council Member
James W. Overton, Council Member
Steve C. Camp, Council Member
Shawn Fennell, Council Member, Vice Mayor
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Richard Depriest, Director of Public Works
David Kellogg, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Ben West, Interim Fire Chief
Charles Stuart, Director of Codes
William McCord, Director of Planning
David Brown, Director of Leisure Services
Connie Flood, Director of Human Resources
James Fenton, Director of Economic Development
Nick Tuttle, City Engineer
Lori Smiley, Director of Information Technology
Mark Kimbell, Electric Department Manager

COUNSEL

Susan High-McAuley
City Attorney
Gallatin, Tennesse

FINANCIAL SECTION

BLANKENSHIP

Independent Auditor's Report

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Electric Department which is both a major fund and represents 23 percent, 22 percent, and 67 percent, respectively, of the assets, net position, and revenues of the business-type activities. Those statements were audited by other auditors whose report has been furnished to us, and our opinions, insofar as they relate to the amounts included for the Electric Department, are based solely on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of the other auditor, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City as of June 30, 2021, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 4 through 9 and the required supplementary information as listed in the table of contents on pages 64 through 69 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The introductory section, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons) on pages 70-76, the supplementary schedules as noted in the supplementary and other information section on pages 77-83 including the schedule of expenditures of federal awards as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the Uniform Guidance), and the statistical section and other schedules on page 84-89 are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual nonmajor fund financial statements and schedules (budgetary comparisons) on pages 70-76, and the supplementary schedules on pages 77-83, including the schedule of expenditures of federal awards and state financial assistance on pages 77-78, are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and the other auditor. In our opinion, based on our audit, the procedures performed as described above, and the report of the other auditor, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons) on pages 70-76, and the supplementary schedules on pages 77-83 including the schedule of expenditures of federal awards and state financial assistance on pages 77-78, are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory section, statistical section, and other schedules on pages 84-89 have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated January 25, 2022 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
January 25, 2022

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2021. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceed its liabilities and deferred inflows of resources at the close of the fiscal year by $362.31 million as compared to $324.32 million in the prior year. Of the amounts, $85.80 million (unrestricted net position) as compared to $67.92 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by $37.99 million in 2021, compared to an increase of $41.85 million in 2020.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of $44.98 million, an increase of $19.13 million from the prior year. Approximately $29.34 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was $29.34 million, or 72.68% of the total general fund expenditures as compared to $18.72 million the prior year.
- The City's total debt obligations increased by approximately $6 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are compromised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the net difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported when the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 10 to 11 of this report.

Fund Financial Statements
A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories- governmental funds and proprietary funds.

Governmental Funds
Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 12 to 15 of this report.

The City maintains nine governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other seven governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 70.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 21 to 30 and pages 72 to 76 of this report.

Proprietary Funds
There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 16 to 20 of this report.

Fiduciary Funds
Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combined statements which can be found on pages 31 to 32 of this report.

Notes to the Financial Statements
The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 33 to 63 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of exceeded liabilities and deferred inflows of resources by $362.31 million at the close of the most recent fiscal year, as compared to $324.32 million at the close of the previous year.

By far the largest portion of the City's net position (72.79%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position $12.8 million (3.53%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position $85.80 million (23.68%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

	Primary Government (in thousands)					
	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Assets						
Current and other assets	65,532	44,822	63,857	60,656	129,389	105,478
Capital assets	145,682	130,293	194,159	181,890	339,841	312,183
Total assets	211,214	175,115	258,016	242,546	469,230	417,661
Deferred Outflows of Resources	276	452	3,333	3,765	3,609	4,217
Liabilities						
Other liabilities	6,777	5,273	19,826	15,642	26,603	20,915
Long-term liabilities	32,182	23,147	37,784	40,281	69,966	63,428
Total Liabilities	38,959	28,420	57,610	55,923	96,569	84,343
Deferred Inflows of Resources	13,605	12,755	355	459	13,960	13,214
Net Position						
Net Investment in capital assets	106,415	109,188	157,293	144,663	263,708	253,851
Restricted	12,609	2,458	195	94	12,804	2,552
Unrestricted	39,902	22,744	45,896	45,174	85,798	67,918
Total Net Position	158,926	134,390	203,384	189,931	362,310	324,321

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Long-term liabilities increased due to payments being made on these projects during the current fiscal year.

Statement of Activities

Expenses in the governmental activities exceeded program revenues by $14.25 million. In the business-type activities program revenues exceed expenses by $14.92 million. General government revenues and transfers of $38.79 million offset the governmental activities deficit resulting in a positive change of net position of $24.53 million. Other business-type revenues of $423 thousand and transfers of ($1.89) million reduced income in the business type activities leaving a positive change in net position of $13.45 million.

	Primary Government (in thousands)					
	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Program Revenues						
Charges for services	10,290	8,978	95,741	96,305	106,031	105,283
Operating grants and contributions	2,421	2,923	-	-	2,421	2,923
Capital grants and contributions	12,483	20,335	6,341	10,898	18,824	31,233
General Revenues						
Property taxes	13,530	12,892	-	-	13,530	12,892
Other taxes	19,610	16,454	-	-	19,610	16,454
Other sources	3,752	690	423	329	4,175	1,019
Total Revenues	62,086	62,272	102,505	107,532	164,591	169,804
Expenses						
General Government	9,568	12,363	-	-	9,568	12,363
Public Safety	17,490	15,281	-	-	17,490	15,281
Engineering	638	623	-	-	638	623
Environmental Services	3,125	2,797	-	-	3,125	2,797
Public Works	775	675	-	-	775	675
Highways and Streets	1,405	1,136	-	-	1,405	1,136
Vehicle Maintenance	589	617	-	-	589	617
Parks and Recreation	4,951	3,788	-	-	4,951	3,788
Economic Development	528	572	-	-	528	572
Tourism	-	57	-	-	-	57
Interest on long-term debt	374	598	-	-	374	598
Electric	-	-	61,467	64,716	61,467	64,716
Water and Sewer	-	-	13,302	14,207	13,302	14,207
Gas	-	-	12,390	10,525	12,390	10,525
Total Expenses	39,443	38,507	87,159	89,448	126,602	127,955
Increase (decrease) in net position before transfers	22,643	23,765	15,346	18,084	37,989	41,849
Transfers	1,893	1,805	(1,893)	(1,805)	-	-
Increase (decrease) in net position	24,536	25,570	13,453	16,279	37,989	41,849
Net Position - Beginning	134,390	108,820	189,931	173,652	324,321	282,472
Net Position - Ending	158,926	134,390	203,384	189,931	362,310	324,321

In governmental activities, charges for services increased $1.31 million in 2021. Operating grants and contributions decreased by $502 thousand. Capital grants and contributions decreased $7.85 million. In the business type activities revenues charges for services decreased by $564 thousand and costs of sales and service decreased by $2.29 million due to a mostly mild winter and decreased sales during the year.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Statement of Activities
Overall expenses for 2021 were more than expenses in 2020 in the governmental activities by $936 thousand. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational and capital spending to a minimum for the fiscal year due to continued uncertainties regarding the pandemic spread and potential negative economic impacts.

FINANICIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental Funds
The focus of the City's governmental funds is to provide information on near- term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was $29.34 million while total fund balance was $30.08 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 72.68% of the total general fund expenditures in 2021 as compared to 49.02% in 2020.

The fund balance of the City's general fund increased by $11.2 million during the current fiscal year. Key factors in this increase were the significant increase of local tax revenues and intergovernmental revenues.

Proprietary Funds
The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business- type activities and are operated similarly. Net position of the proprietary funds increased by $13.45 million in 2021 as compared to $16.28 million in 2020.

Unrestricted net position of the proprietary funds amounted to $45.90 million as compared to $45.17 million in the prior year. The change in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund - $6.61 million in 2021 compared to $11.11 million in 2020
- Natural Gas Fund - $2.62 million in 2021 compared to $2 million in 2020
- Electric Fund - $4.22 million in 2021 compared to $3.16 million in 2020

General Fund Budgetary Highlights
The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in an $14.6 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 38.1% was mainly for capital expenditures.

Actual revenues exceeded budgeted amounts by $5.87 million. The largest variances were related to local tax revenues.

Actual expenditures and transfers out were under budget by $12.53 million, partially due to department heads holding spending and partially due to large projects that were budgeted for this year that will continue into next year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At the end of Fiscal Year 2021 the City had invested $339.84 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 9.2%. Additional information on the City's capital assets can be found in Note 1.H., on page 36 and Note 6, beginning on page 45 of this report.

Long-term debt

At the end of the current fiscal year, the City had total long-term debt outstanding of $66.5 million as compared to $60.1 million at the end of the prior fiscal year. Of this amount, $27.88 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 8 beginning on page 47 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue

Sales tax revenues grew at an increased rate for the year. Most other general revenue taxes and charges for services showed modest-to-moderate growth. Grants and contributions decreased in 2021.

General Fund Expenditures and Capital Outlay

Departments were encouraged to be prudent and frugal with spending due to unknown pandemic impacts. Most capital funding was to complete existing, ongoing projects, to purchase critical equipment, or for grant funded projects.

General Fund Balance

At the end of the current fiscal year, unassigned fund balance in the general fund was $29.34 million. The increase from the previous year was related to better than anticipated revenue collections and delayed capital expenditures.

Next Year's Budget and Rates

The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. While preparing the next budget in the midst of the pandemic, management took a very conservative approach to revenue projections and held spending to necessities only. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin,132 West Main Street, Gallatin, TN, 37066.

BASIC FINANCIAL STATEMENTS

CITY OF GALLATIN, TENNESSEE

Statement of Net Position

June 30, 2021

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Cash and cash equivalents	$ 31,226,568	$ 45,023,762	$ 76,250,330
Certificates of deposit	1,932,400	5,139,550	7,071,950
Investments	21,025	-	21,025
Receivables, net of allowance for uncollectibles	22,461,739	9,330,339	31,792,078
Inventories	53,515	3,724,599	3,778,114
Net pension asset	-	47,644	47,644
Prepaid items and other assets	10,929	78,355	89,284
Restricted assets -			
Cash and cash equivalents	9,189,170	353,556	9,542,726
TCRS Stablization Fund	636,654	159,164	795,818
Capital assets -			
Land and construction in progress	16,875,496	10,462,092	27,337,588
Other capital assets, net of depreciation	128,806,791	183,696,434	312,503,225
Total Assets	$ 211,214,287	$ 258,015,495	$ 469,229,782
DEFERRED OUTFLOWS OF RESOURCES			
Deferred charge on refunding	$ -	$ 1,421,359	$ 1,421,359
Deferred outflows related to pensions	275,824	1,760,871	2,036,695
Deferred outflows related to OPEB	-	150,996	150,996
Total Deferred Outflows of Resources	$ 275,824	$ 3,333,226	$ 3,609,050
LIABILITIES			
Accounts payable and accrued expenses	$ 2,805,200	$ 13,422,611	$ 16,227,811
Unearned revenue	175,395	-	175,395
Accrued interest	486,777	697,858	1,184,635
Deposits held	-	5,685,000	5,685,000
Other deposits	3,310,086	-	3,310,086
Other liabilities	-	20,824	20,824
Long-term liabilities -			
Due within one year - Debt	1,996,837	2,269,886	4,266,723
Due within one year - Other	717,591	590,288	1,307,879
Due in more than one year - Debt	28,259,052	34,028,436	62,287,488
Due in more than one year - Other	1,135,851	243,889	1,379,740
Due in more than one year - OPEB liability	-	631,954	631,954
Due in more than one year - net pension liability	72,756	19,307	92,063
Total Liabilities	$ 38,959,545	$ 57,610,053	$ 96,569,598
DEFERRED INFLOWS OF RESOURCES			
Deferred current property taxes	$ 13,604,525	$ -	$ 13,604,525
Deferred inflows related to pensions	-	320,709	320,709
Deferred inflows related to OPEB	-	34,109	34,109
Total Deferred Inflows of Resources	$ 13,604,525	$ 354,818	$ 13,959,343
NET POSITION			
Net investment in capital assets	$ 106,414,737	$ 157,292,864	$ 263,707,601
Restricted for -			
Capital projects	9,011,661	-	9,011,661
Funds held in trust	431,977	-	431,977
Environmental services	825,607	-	825,607
Drug enforcement	130,982	-	130,982
Economic development	123,462	-	123,462
Stormwater	1,486,934	-	1,486,934
Other purposes	563,898	195,257	759,155
Perpetual care -			
Expendable	14,174	-	14,174
Nonexpendable	21,025	-	21,025
Unrestricted	39,901,584	45,895,729	85,797,313
Total Net Position	$ 158,926,041	$ 203,383,850	$ 362,309,891

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Activities

Year Ended June 30, 2021

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue and Changes in Net Position – Primary Government: Governmental Activities	Business-type Activities	Total
Governmental activities -							
Administrative and general	$ 9,568,230	$ 3,793,722	$ -	$ -	$ (5,774,508)		$ (5,774,508)
Public Safety	17,489,772	676,288	873,318	255,900	(15,684,266)		(15,684,266)
Engineering	638,392	-	-	-	(638,392)		(638,392)
Environmental	3,125,244	4,250,509	54,564	-	1,179,829		1,179,829
Public Works	774,681	-	-	-	(774,681)		(774,681)
Highways & Streets	1,405,170	-	1,315,999	12,150,400	12,061,229		12,061,229
Vehicle Maintenance	589,459	199,420	-	-	(390,039)		(390,039)
Recreation	4,950,915	1,369,748	-	76,496	(3,504,671)		(3,504,671)
Economic Development	528,172	-	177,149	-	(351,023)		(351,023)
Interest on long-term debt	374,399	-	-	-	(374,399)		(374,399)
Total governmental activities	$ 39,444,434	$ 10,289,687	$ 2,421,030	$ 12,482,796	$ (14,250,921)		$ (14,250,921)
Business-type activities -							
Electric	$ 61,466,937	$ 63,856,317	$ -	$ 2,671,883		$ 5,061,263	$ 5,061,263
Water and sewer	13,300,552	16,567,962	-	3,669,514		6,936,924	6,936,924
Gas	12,390,484	15,316,732	-			2,926,248	2,926,248
Total business-type activities	$ 87,157,973	$ 95,741,011	$ -	$ 6,341,397		$ 14,924,435	$ 14,924,435
Total primary government	$ 126,602,407	$ 106,030,698	$ 2,421,030	$ 18,824,193	$ (14,250,921)	$ 14,924,435	$ 673,514
							$
General revenues -							
Taxes -							
Property taxes - Levied for General Government					$ 12,917,220	$ -	$ 12,917,220
In Lieu of Taxes - Other governments					613,157	-	613,157
Sales taxes					15,317,664	-	15,317,664
Franchise taxes					507,514	-	507,514
Alcoholic beverage taxes					1,965,642	-	1,965,642
Business taxes					1,404,790	-	1,404,790
Income taxes					414,371	-	414,371
Other sources					579,293	-	579,293
Grants and contributions not restricted to specific programs					2,407,821	-	2,407,821
Unrestricted investment earnings					240,425	316,711	557,136
Gain (loss) on sale of assets					525,190	105,925	631,115
Transfers					1,891,977	(1,891,977)	-
Total general revenues, contributions, and transfers					$ 38,785,064	$ (1,469,341)	$ 37,315,723
Change in net position					$ 24,534,143	$ 13,455,094	$ 37,989,237
Net position - beginning					134,391,898	189,928,756	324,320,654
Net position - ending					$ 158,926,041	$ 203,383,850	$ 362,309,891

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Balance Sheet
Governmental Funds

June 30, 2021

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
ASSETS				
Cash and Cash Equivalents	$ 24,936,416	$ -	$ 6,290,152	$ 31,226,568
Certificates of Deposit	1,932,400	-	-	1,932,400
Investments	-	-	21,025	21,025
Receivables				
Interest	367,088	-	24	367,112
Taxes (net of allowance of $301,584)	13,568,306	-	-	13,568,306
Accounts (net of allowance of $24,947)	367,199	-	425,598	792,797
Fines (net of allowance of $2,071,629)	32,224	-	-	32,224
Grants	862,847	3,095,541	-	3,958,388
Intergovernmental	3,441,326	-	-	3,441,326
Inventories	43,525	-	9,990	53,515
Prepaid Expense	-	-	10,929	10,929
Restricted Assets -				
Cash and Cash Equivalents	177,509	9,011,661	-	9,189,170
TCRS Stabilization Fund	603,121	-	33,533	636,654
Total Assets	$ 46,331,961	$ 12,107,202	$ 6,791,251	$ 65,230,414
LIABILITIES				
Accounts Payable	$ 1,790,647	$ 363,600	$ 216,365	$ 2,370,612
Retainage Payable	177,509	-	-	177,509
Accrued Expenses	256,981	100	-	257,081
Unearned Revenues	64,162	-	-	64,162
Unearned Evidence Funds	-	-	111,233	111,233
Performance Deposits	-	-	3,310,086	3,310,086
Total Liabilities	$ 2,289,299	$ 363,700	$ 3,637,684	$ 6,290,683
DEFERRED INFLOWS OF RESOURCES				
Unavailable Revenue - Property Tax	$ 13,930,498	$ -	$ -	$ 13,930,498
Unavailable Revenue - Court Fines	32,224	-	-	32,224
Total Deferred Inflows of Resources	$ 13,962,722	$ -	$ -	$ 13,962,722
FUND BALANCES				
Nonspendable:				
Prepaid Items	$ -	$ -	$ 10,929	$ 10,929
Funds Held in Trust	-	-	21,025	21,025
Inventories	43,525	-	9,990	53,515
Restricted for:				
Capital Projects	-	9,011,661	-	9,011,661
Funds Held in Trust	-	-	431,977	431,977
Environmental Services	-	-	825,607	825,607
Drug Enforcement	-	-	130,982	130,982
Economic Development	-	-	123,462	123,462
Stormwater	-	-	1,486,934	1,486,934
Hybrid Retirement Stabilization Funds	603,121	-	33,533	636,654
Committed for:				
Economic Development	89,508	-	-	89,508
Assigned for:				
Capital Projects	-	2,731,841	-	2,731,841
Police Special Projects	-	-	64,954	64,954
Cemetery	-	-	14,174	14,174
Unassigned	29,343,786	-	-	29,343,786
Total Fund Balances	$ 30,079,940	$ 11,743,502	$ 3,153,567	$ 44,977,009
Total Liabilities, Deferred Inflows of Resources, and Fund Balances	$ 46,331,961	$ 12,107,202	$ 6,791,251	$ 65,230,414

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities

June 30, 2021

Total Governmental Fund Balances	$	44,977,009
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.		145,682,287
Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be amortized and recognized as components of the related expense in future years.		275,824
Receivables are not available to pay for current-period expenditures and, therefore, are deferred or not reported in the funds.		659,785
Long-term liabilities, including bonds and loans payable, are not due and payable in the current period and, therefore, are not reported in the funds.		(32,668,864)
Net Position of Governmental Activities	$	158,926,041

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds

Year Ended June 30, 2021

	General Fund	Capital Projects	Other Governmental Funds	Total Governmental Funds
Revenues -				
Local Taxes	$ 28,148,675	$ -	$ -	$ 28,148,675
Licenses and Permits	3,247,237	-	-	3,247,237
Intergovernmental Revenues	9,500,279	6,701,091	-	16,201,370
Charges for services	2,115,653	-	4,170,169	6,285,822
Fines	593,851	-	80,115	673,966
Other	4,078,385	11,758	389,260	4,479,403
Total Revenues	$ 47,684,080	$ 6,712,849	$ 4,639,544	$ 59,036,473
Expenditures -				
Current -				
General Government	$ 7,717,866	$ -	$ -	$ 7,717,866
Public Safety	15,677,483	-	86,744	15,764,227
Engineering	638,392	-	-	638,392
Environmental Services	-	-	2,819,961	2,819,961
Public Works	765,125	-	-	765,125
Highways and Streets	1,045,433	-	-	1,045,433
Vehicle Maintenance	585,193	-	-	585,193
Parks and Recreation	4,188,436	-		4,188,436
Economic Development	386,181	-	135,552	521,733
Debt service -				
Principal	1,395,000	-	-	1,395,000
Interest	684,050	-	-	684,050
Other Debt Service Expense	600	111,710	-	112,310
Capital outlay	7,287,701	8,756,480	626,740	16,670,921
Total Expenditures	$ 40,371,460	$ 8,868,190	$ 3,668,997	$ 52,908,647
Excess (deficiency) of Revenues over (under) Expenditures	$ 7,312,620	$ (2,155,341)	$ 970,547	$ 6,127,826
Other Financing Sources (Uses) -				
Transfer In - In Lieu of Taxes	$ 1,891,977	$ -	-	$ 1,891,977
Transfers In / (Out)	2,000,000	(2,000,000)	-	-
Issuance of Debt	-	9,725,000	-	9,725,000
Bond Premium	-	1,387,853	-	1,387,853
Total Other Financing Sources and Uses	$ 3,891,977	$ 9,112,853	$ -	$ 13,004,830
Net change in Fund Balances	$ 11,204,597	$ 6,957,512	$ 970,547	19,132,656
Fund Balance - July 1, 2020	18,875,343	4,785,990	2,183,020	25,844,353
Fund Balance - June 30, 2021	$ 30,079,940	$ 11,743,502	$ 3,153,567	$ 44,977,009

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities

Year Ended June 30, 2021

Net Change in Fund Balances - Total Governmental Funds	$	19,132,656
Amounts reported for governmental activities in the statement of activities are different because:		
Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period.		12,384,431
The net effect of various transactions involving capital assets (i.e., sales, trade-ins, and contributed assets) is to increase net position.		3,004,629
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, and revenues received in the current year that were accrued in the statement of activities in prior years are reported as revenues in the funds.		45,498
The issuance of long-term debt (e.g., bonds, leases) provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of issuance costs, premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. This amount is the net effect of these differences in the treatment of long-term debt and related items.		(9,152,611)
Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. Other items such as contributions to pension funds are expensed in the funds while an actuarially determined expense amount is included in the statement of activities.		(880,460)
Change in Net Position of Governmental Activities	$	24,534,143

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Net Position
Proprietary Funds

June 30, 2021

	Electric Division	Water and Sewer Division	Gas Division	Totals
ASSETS				
Current Assets -				
Cash and Cash Equivalents - General	$ 11,898,016	$ 20,088,914	$ 13,036,832	$ 45,023,762
Cash and Cash Equivalents - Restricted	7,756	230,066	115,734	353,556
Certificates of Deposit	5,139,550	-	-	5,139,550
Accounts Receivable - Trade (net of allowance for uncollectibles)	6,464,751	1,384,545	1,365,886	9,215,182
Prepayments and Other Current Assets	57,412	629	20,314	78,355
Materials and Supplies	1,797,938	807,996	1,118,665	3,724,599
Portion of Non-Current Receivables Due Within One Year	11,906	-	-	11,906
Total Current Assets	$ 25,377,329	$ 22,512,150	$ 15,657,431	$ 63,546,910
Noncurrent Assets -				
Other Assets -				
Other Receivables	$ 95,529	$ -	$ -	$ 95,529
TCRS Stabilization Fund	-	118,827	40,337	159,164
TVA Contracts Receivable - Home Weatherization	19,628	-	-	19,628
Net Pension Asset	47,644	-	-	47,644
Less Amount Due Within One Year	(11,906)	-	-	(11,906)
Total Other Assets	$ 150,895	$ 118,827	$ 40,337	$ 310,059
Capital Assets -				
Land	$ 2,062,301	$ 1,750,002	$ 231,447	$ 4,043,750
Construction in Progress	15,182	1,681,946	4,721,214	6,418,342
Other capital assets, net of depreciation				
Transmission Plant	1,058,022	-	-	1,058,022
Distribution Plant	28,851,818	89,845,939	34,085,704	152,783,461
General Plant	2,188,187	-	-	2,188,187
Buildings	-	25,651,386	605,423	26,256,809
Operating Equipment	-	616,764	187,593	804,357
Rolling Stock	-	470,393	102,742	573,135
Office Furniture and Equipment	-	1,664	30,799	32,463
Total Capital Assets	$ 34,175,510	$ 120,018,094	$ 39,964,922	$ 194,158,526
Total Noncurrent Assets	$ 34,326,405	$ 120,136,921	$ 40,005,259	$ 194,468,585
Total Assets	$ 59,703,734	$ 142,649,071	$ 55,662,690	$ 258,015,495
DEFERRED OUTFLOWS OF RESOURCES				
Deferred Charge on Bond Refunding	$ -	$ 1,421,359	$ -	$ 1,421,359
Deferred Outflows Related to Pensions	1,690,830	51,865	18,176	1,760,871
Deferred Outflows Related to OPEB	150,996	-	-	150,996
Total Deferred Outflows of Resources	$ 1,841,826	$ 1,473,224	$ 18,176	$ 3,333,226
Total Assets and Deferred Outflows of Resources	$ 61,545,560	$ 144,122,295	$ 55,680,866	$ 261,348,721

(continued)

CITY OF GALLATIN, TENNESSEE

Statement of Net Position (continued)
Proprietary Funds

June 30, 2021

	Electric Division	Water and Sewer Division	Gas Division	Totals
LIABILITIES				
Current Liabilities -				
Accounts Payable	$ 9,442,575	$ 2,463,114	$ 886,790	$ 12,792,479
Retainage Payable	-	230,066	115,734	345,800
Other Accrued Expenses	282,870	366	1,096	284,332
Accrued Interest	20,872	581,567	95,419	697,858
Customers' Deposits	4,920,263	455,954	308,783	5,685,000
Accrued Leave	207,843	258,300	124,145	590,288
Current Maturities of Long-term Debt	-	2,048,626	221,260	2,269,886
Total Current Liabilities	$ 14,874,423	$ 6,037,993	$ 1,753,227	$ 22,665,643
Long-term Liabilities -				
Bonds Payable (less current maturities)	$ -	$ 26,750,000	$ 4,940,000	$ 31,690,000
Accrued Leave	128,947	37,887	77,055	243,889
TVA Advances Payable - Home Weatherization	20,824	-	-	20,824
Net Pension Liability	-	14,333	4,974	19,307
OPEB Liability	631,954	-	-	631,954
Bond Premiums	-	1,977,026	361,410	2,338,436
Total Long-term Liabilities	$ 781,725	$ 28,779,246	$ 5,383,439	$ 34,944,410
Total Liabilities	$ 15,656,148	$ 34,817,239	$ 7,136,666	$ 57,610,053
DEFERRED INFLOWS OF RESOURCES				
Deferred Inflows Related to Pensions	$ 320,709	$ -	$ -	$ 320,709
Deferred Inflows Related to OPEB	34,109	-	-	34,109
Total Deferred Inflows of Resources	$ 354,818	$ -	$ -	$ 354,818
NET POSITION				
Net Investment in Capital Assets	$ 34,175,510	$ 88,929,576	$ 34,187,778	$ 157,292,864
Restricted - Workers' Compensation Adjustment	7,756			7,756
Restricted - Pension	47,644	104,494	35,363	187,501
Unrestricted	11,303,684	20,270,986	14,321,059	45,895,729
Total Net Position	$ 45,534,594	$ 109,305,056	$ 48,544,200	$ 203,383,850
Total Liabilities, Deferred Inflows of Resources and Net Position	$ 61,545,560	$ 144,122,295	$ 55,680,866	$ 261,348,721

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Revenues, Expenses, and Changes in Net Position
Proprietary Funds

Year Ended June 30, 2021

	Electric Division	Water and Sewer Division	Gas Division	Totals
Operating Revenues -				
Charges for Sales and Service	$ 62,878,053	$ 16,082,801	$ 14,965,073	$ 93,925,927
Fines and Forfeitures	237,245	122,552	-	359,797
Other Operating Revenue	741,019	362,609	351,659	1,455,287
Total Operating Revenues	$ 63,856,317	$ 16,567,962	$ 15,316,732	$ 95,741,011
Operating Expenses -				
Cost of Sales and Service	$ 51,179,730	$ -	$ 8,525,194	$ 59,704,924
Water Treatment and Pumping	-	1,679,756	-	1,679,756
Transmission and Distribution	3,973,084	1,751,029	1,381,928	7,106,041
Customer Service and Collection	825,729	687,690	677,994	2,191,413
General Administration	1,850,203	1,194,711	445,591	3,490,505
Sewer Collection	-	1,216,181	-	1,216,181
Sewer System Rehab	-	356,227	-	356,227
Sewer Treatment and Disposal	-	1,854,706	-	1,854,706
Sewer Pretreatment	-	89,720	-	89,720
Maintenance	1,603,340	-	-	1,603,340
Customer Deposit Interest	21,875	-	-	21,875
Amortization - Acquisition Adjustment	42,240	-	-	42,240
Provision for Depreciation	1,970,736	3,609,566	1,185,450	6,765,752
Total operating expenses	$ 61,466,937	$ 12,439,586	$ 12,216,157	$ 86,122,680
Operating Income	$ 2,389,380	$ 4,128,376	$ 3,100,575	$ 9,618,331
Non-operating Revenues (Expenses) -				
Interest and Other Income	$ 149,092	$ 64,139	$ 103,480	$ 316,711
Tap Fees	-	1,671,152	-	1,671,152
Amortization of Bond Premiums	-	257,752	-	257,752
Interest and Other Expense	-	(1,118,718)	(174,327)	(1,293,045)
Other Gains and Losses	-	102,725	3,200	105,925
Total non-operating revenues (expenses)	$ 149,092	$ 977,050	$ (67,647)	$ 1,058,495
Income before Contributions and Transfers	$ 2,538,472	$ 5,105,426	$ 3,032,928	$ 10,676,826
Capital Contributions	2,671,883	1,998,362	-	4,670,245
Transfers Out - In Lieu of Taxes	(985,738)	(489,229)	(417,010)	(1,891,977)
Change in Net Position	$ 4,224,617	$ 6,614,559	$ 2,615,918	$ 13,455,094
Net Position - July 1, 2020	41,309,977	102,690,497	45,928,282	189,928,756
Net Position - June 30, 2021	$ 45,534,594	$ 109,305,056	$ 48,544,200	$ 203,383,850

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Cash Flows
Proprietary Funds

Year Ended June 30, 2021

	Electric Division	Water and and Sewer Division	Gas Division	Totals
Cash Flows from Operating Activities -				
Cash Received from Customers	$ 63,398,824	$ 16,663,921	$ 15,322,882	$ 95,385,627
Cash Payments to Suppliers for Goods and Services	(54,792,797)	(3,814,816)	(9,136,931)	(67,744,544)
Cash Payments to Employees for Services	(3,196,469)	(4,473,932)	(1,539,317)	(9,209,718)
Interest Payments on Customer Deposits	(21,875)	-	-	(21,875)
Net Decrease in TVA Loan Funds Receivable	18,751	-	-	18,751
Net Decrease in TVA Loan Funds Payable	(20,734)	-	-	(20,734)
Net Cash Provided (Used) by Operating Activities	$ 5,385,700	$ 8,375,173	$ 4,646,634	$ 18,407,507
Cash Flows from Noncapital Financing Activities -				
Transfers Out	$ (985,738)	$ (489,229)	$ (417,010)	$ (1,891,977)
Net Cash Provided (Used) by Noncapital Financing Activities	$ (985,738)	$ (489,229)	$ (417,010)	$ (1,891,977)
Cash Flows from Capital and Related Financing Activities -				
Capital Contributions by Customers and Grants	$ 2,671,883	$ 21,998	$ -	$ 2,693,881
Proceeds from Tap Fees	-	1,671,152	-	1,671,152
Principal Paid on Debt	-	(1,825,000)	(190,000)	(2,015,000)
Interest Paid on Bonds, Notes, and Leases	-	(1,210,086)	(195,587)	(1,405,673)
Construction and Acquisition of Plant	(2,151,187)	(9,648,411)	(3,186,933)	(14,986,531)
Received on Sale of Assets	100,966	102,725	3,200	206,891
Plant Removal Cost	(356,329)	-	-	(356,329)
Net Cash Provided (Used) by Capital and Related Financing Activities	$ 265,333	$ (10,887,622)	$ (3,569,320)	$ (14,191,609)
Cash Flows From Investing Activities -				
Purchase of Certificates of Deposit	$ (508,972)	$ -	$ -	$ (508,972)
Interest and Other Income	149,086	64,139	103,480	316,705
Net Cash Provided (Used) by Investing Activities	$ (359,886)	$ 64,139	$ 103,480	$ (192,267)
Net Increase (Decrease) in Cash	$ 4,305,409	$ (2,937,539)	$ 763,784	$ 2,131,654
Cash at Beginning of Year	7,600,363	23,256,519	12,388,782	43,245,664
Cash at End of Year	$ 11,905,772	$ 20,318,980	$ 13,152,566	$ 45,377,318
Cash and Cash Equivalents -				
Unrestricted Cash and Cash Equivalents on Deposit	$ 11,898,016	$ 20,088,914	$ 13,036,832	$ 45,023,762
Restricted Cash and Cash Equivalents on Deposit	7,756	230,066	115,734	353,556
Total Cash and Cash Equivalents	$ 11,905,772	$ 20,318,980	$ 13,152,566	$ 45,377,318

(continued)

CITY OF GALLATIN, TENNESSEE

Statement of Cash Flows (continued)
Proprietary Funds

Year Ended June 30, 2021

	Electric Division	Water and and Sewer Division	Gas Division	Totals
Reconciliation of Operating Income to Net Cash Provided by Operating Activities				
Operating Income (Loss)	$ 2,389,380	$ 4,128,376	$ 3,100,575	$ 9,618,331
Adjustments to Reconcile Operating Income into Net Cash Provided (Used) by Operating Activities:				
Depreciation and Amortization of Acquisition Costs	2,150,807	3,609,566	1,185,450	6,945,823
Recovery of Bad Debt	-	11,589	8,192	19,781
Changes in Assets, Deferred Outflows of Resources, Liabilities, and Deferred Inflows of Resources:				
(Increase) Decrease in Accounts Receivable	(457,493)	(125,952)	(103,626)	(687,071)
(Increase) Decrease in Materials and Supplies	(272,815)	68,012	391,472	186,669
(Increase) Decrease in Prepayments and Other Current Assets	(27,280)	(629)	9,812	(18,097)
(Increase) Decrease in TVA Contracts Receivable	18,751	-	-	18,751
(Increase) Decrease in Deferred Outflows of Resources	108,739	(27,198)	(9,413)	72,128
(Increase) Decrease in TCRS Stabilization Fund		(57,027)	(19,737)	(76,764)
(Increase) Decrease in Pension Asset	(47,644)	-	-	(47,644)
Increase (Decrease) in Accounts Payable	1,188,879	624,422	17,673	1,830,974
Increase (Decrease) in Other Accrued Expenses	33,807	2	610	34,419
Increase (Decrease) in Customers' Deposits	634,258	187,146	85,200	906,604
Increase (Decrease) in Accrued Leave	87,545	(58,468)	(24,882)	4,195
Increase (Decrease) in TVA Contracts Payable	(20,734)	-	-	(20,734)
Increase (Decrease) in Pension Liability	-	15,382	5,324	20,706
Increase (Decrease) in OPEB Liability	(296,513)	-	-	(296,513)
Increase (Decrease) in Deferred Inflows of Resources	(103,987)	(48)	(16)	(104,051)
Net Cash Provided (Used) by Operating Activities	$ 5,385,700	$ 8,375,173	$ 4,646,634	$ 18,407,507
Supplemental Disclosure of Noncash Capital and Related Financing Activities				
Utility Plant Additions Financed by Accounts Payable	$ -	$ 1,444,669	$ 138,739	$ 1,583,408
Utility Plant Additions Financed by Retainage Payable	-	230,066	115,734	345,800
Developer Contributions of Systems	-	1,976,362	-	1,976,362
	$ -	$ 3,651,097	$ 254,473	$ 3,905,570

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Revenues -				
Local Taxes -				
Property Taxes - Current	$ 11,850,730	$ 11,850,730	$ 12,667,279	$ 816,549
Property Taxes - Delinquent	150,000	150,000	123,956	(26,044)
Property Taxes - Penalty and Interest	60,000	60,000	82,809	22,809
Local Sales Taxes	8,600,000	8,600,000	11,640,068	3,040,068
Local Beer Taxes	1,100,000	1,100,000	1,202,462	102,462
Local Liquor Taxes	330,000	330,000	519,797	189,797
Business Taxes	910,000	910,000	1,135,536	225,536
Privilege Taxes	25,000	25,000	27,432	2,432
Cable Taxes	455,000	455,000	507,514	52,514
Occupancy Taxes	100,000	100,000	241,175	141,175
Special Assessments	10,000	10,000	647	(9,353)
Total - Local Taxes	$ 23,590,730	$ 23,590,730	$ 28,148,675	$ 4,557,945
Licenses and Permits -				
Beer Licenses	$ 2,000	$ 2,000	$ 4,558	$ 2,558
Building Permits	840,000	840,000	1,021,228	181,228
Plumbing Permits	110,000	110,000	273,667	163,667
Planning Fees	175,000	175,000	335,770	160,770
Other Mechanical Permits	175,000	175,000	394,609	219,609
Other Permits	597,850	597,850	1,217,405	619,555
Total - Licenses and Permits	$ 1,899,850	$ 1,899,850	$ 3,247,237	$ 1,347,387
Fines and Forfeitures -				
Fines and Forfeitures	$ 364,250	$ 466,250	$ 440,991	$ (25,259)
A.C.E.S. Red Light Revenue	180,000	180,000	139,097	(40,903)
Drug Fines	17,500	17,500	13,763	(3,737)
Total - Fines and Forfeitures	$ 561,750	$ 663,750	$ 593,851	$ (69,899)
Intergovernmental Revenues -				
In Lieu of Tax - Housing Authority	$ 3,400	$ 3,400	$ 3,550	$ 150
In Lieu of Tax - Industry	93,700	93,700	161,404	67,704
State - Sales Tax	2,800,000	2,800,000	3,677,596	877,596
State - Income Tax	-	-	288,501	288,501
State - Beer Tax	15,000	15,000	16,320	1,320
State - Mixed Drink Tax	175,000	175,000	227,063	52,063
State - Gas and Motor Fuel Tax	1,000,000	1,000,000	1,247,559	247,559
State - Petroleum Special	62,000	62,000	68,440	6,440
State - Telecom	20,000	20,000	577	(19,423)
State - TVA in Lieu of Tax	450,000	450,000	448,203	(1,797)
State - Excise Tax	55,000	55,000	125,293	70,293
State Salary Supplements	-	136,800	136,800	-
Other Federal Grants	612,050	612,050	647,860	35,810
Sidewalk Grant	-	387,275	409,295	22,020
Government Highway Safety Grant	-	-	6,433	6,433
Other State Grants	932,824	3,003,763	2,035,385	(968,378)
Total - Intergovernmental Revenues	$ 6,218,974	$ 8,813,988	$ 9,500,279	$ 686,291

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Charges for Services -				
Admin and Management Services	$ 172,050	$ 172,050	$ 235,606	$ 63,556
Accounting and Management Services	111,117	111,117	95,766	(15,351)
Personnel Services	36,803	36,803	50,629	13,826
Other Legal Services	85,073	85,073	108,361	23,288
Miscellaneous	24,500	24,500	20,987	(3,513)
Vehicle Maintenance Charges	220,000	220,000	199,420	(20,580)
Rent	34,875	34,875	35,136	261
Golf Course Revenue	730,500	730,500	870,250	139,750
Civic Center Revenue	695,800	695,800	499,498	(196,302)
Total - Charges for Services	$ 2,110,718	$ 2,110,718	$ 2,115,653	$ 4,935
Miscellaneous Revenues -				
Miscellaneous	$ 5,000	$ 10,042	$ 152,744	$ 142,702
Sale of Land	-	-	418,044	418,044
Sale of Cemetery Lots	15,000	15,000	350	(14,650)
Sale of Materials	2,000	2,000	22,284	20,284
Sale of Equipment	30,000	30,000	47,405	17,405
Donations	75,000	4,148,833	2,790,217	(1,358,616)
Insurance Recoveries	-	400,538	426,549	26,011
Interest	125,000	125,000	220,792	95,792
Total - Miscellaneous Revenues	$ 252,000	$ 4,731,413	$ 4,078,385	$ (653,028)
TOTAL REVENUES	$ 34,634,022	$ 41,810,449	$ 47,684,080	$ 5,873,631
Expenditures -				
General Government -				
Mayor's Office -				
Salaries	$ 259,783	$ 260,383	$ 260,792	$ (409)
Employee Benefits and Taxes	71,940	72,040	57,829	14,211
Official Fees	48,650	48,650	39,359	9,291
Printing and Publications	7,900	7,900	33,728	(25,828)
Membership Fees	45,900	45,900	79,669	(33,769)
Utilities	3,000	3,000	1,980	1,020
Other Professional Services	97,000	97,000	678	96,322
Travel and Meals	17,500	9,500	-	9,500
Training	500	500	-	500
Mayor's Expenses	5,000	5,000	785	4,215
Council Expenses	14,000	14,000	2,184	11,816
Office Supplies	6,851	6,851	1,915	4,936
Repairs and Maintenance	10,000	10,000	-	10,000
Payments in Lieu of Tax	170,000	170,000	197,148	(27,148)
County Portion of Liquor Tax	100,000	100,000	101,607	(1,607)
Discount on Taxes	15,000	15,000	22,529	(7,529)
Grants and Donations	4,000	4,000	4,882	(882)
RTA Program	55,597	55,597	55,597	-
Prizes and Awards	16,000	9,000	6,554	2,446
Miscellaneous	51,800	57,844	7,522	50,322
Total - Mayor's Office	$ 1,000,421	$ 992,165	$ 874,758	$ 117,407

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Finance Department -				
Salaries	$ 479,117	$ 480,517	$ 435,464	$ 45,053
Employee Benefits and Taxes	151,356	151,589	106,509	45,080
Postage	5,500	5,500	2,735	2,765
Printing and Publications	3,000	3,000	2,461	539
Membership Fees	1,000	1,000	445	555
Utilities	1,000	1,000	675	325
Accounting Services	57,000	64,700	64,000	700
Repairs and Maintenance	1,000	1,000	683	317
Training	2,000	2,000	2,420	(420)
Operating Supplies	4,500	4,500	2,477	2,023
Miscellaneous	1,400	1,400	6,918	(5,518)
Total - Finance Department	$ 706,873	$ 716,206	$ 624,787	$ 91,419
City Recorder -				
Salaries	$ 321,785	$ 322,985	$ 243,118	$ 79,867
Employee Benefits and Taxes	118,026	118,226	72,245	45,981
Postage	14,000	14,000	12,188	1,812
Printing and Publication	750	750	328	422
Membership Fees	1,500	1,500	515	985
Utilities	-	-	429	(429)
Data Processing Services	43,500	43,500	16,681	26,819
Other Professional Services	3,500	3,500	350	3,150
Travel	1,500	1,500	79	1,421
Other Contractual Services	5,000	25,194	11,746	13,448
Office Supplies	3,000	3,000	3,796	(796)
Repairs and Maintenance	250	250	-	250
Miscellaneous	5,000	5,000	11,501	(6,501)
Total - City Recorder	$ 517,811	$ 539,405	$ 372,976	$ 166,429
Risk Management -				
HRA Expense	$ 125,000	$ 125,000	$ 172,845	$ (47,845)
Workers Compensation	325,000	325,000	257,449	67,551
ADA Transition Plan	-	380,159	189,790	190,369
Building Insurance	75,000	75,000	65,185	9,815
General Liability	320,000	320,000	323,109	(3,109)
Total - Risk Management	$ 845,000	$ 1,225,159	$ 1,008,378	$ 216,781

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Attorney -				
Salaries	$ 340,246	$ 341,046	$ 341,634	$ (588)
Employee Benefits and Taxes	91,657	91,790	72,213	19,577
Printing and Publication	3,250	3,250	2,502	748
Licenses	650	650	-	650
Tax Law and Other Publications	12,500	12,500	11,015	1,485
Membership Fees	3,000	3,000	3,437	(437)
Utilities	1,400	1,400	978	422
Legal Services	30,000	35,042	30,540	4,502
Other Professional Services	5,000	5,000	2,867	2,133
Travel and Meals	1,500	1,500	32	1,468
Training	1,500	1,500	1,005	495
Office Supplies	500	500	625	(125)
Educational Supplies	29,975	29,975	(4,938)	34,913
Miscellaneous	6,700	6,700	152	6,548
Total - Attorney	$ 527,878	$ 533,853	$ 462,062	$ 71,791
Information Technology -				
Salaries	$ 481,248	$ 482,848	$ 471,724	$ 11,124
Employee Benefits and Taxes	163,922	164,188	128,244	35,944
Copier Expense	250	250	352	(102)
Membership Fees	-	-	235	(235)
Utilities	7,000	7,000	3,949	3,051
Other Professional Services	125,860	128,527	121,248	7,279
Other Contractual Services	759,410	792,807	549,744	243,063
Office Supplies	2,500	2,500	1,224	1,276
Operating Supplies	10,000	10,000	7,492	2,508
Miscellaneous	3,500	3,500	84	3,416
Total - Information Technology	$ 1,553,690	$ 1,591,620	$ 1,284,296	$ 307,324
Personnel -				
Salaries	$ 254,104	$ 255,104	$ 247,397	$ 7,707
Employee Benefits and Taxes	76,928	77,095	71,715	5,380
Printing and Publication	7,760	7,760	1,464	6,296
Utilities	625	625	394	231
Physicals	9,500	9,500	343	9,157
Professional Services	6,625	6,625	420	6,205
Training	2,000	2,000	1,650	350
Office Supplies	900	900	3,142	(2,242)
Operating Supplies	3,300	3,300	443	2,857
Miscellaneous	9,300	9,300	787	8,513
Total - Personnel	$ 371,042	$ 372,209	$ 327,755	$ 44,454

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
City Planner -				
Salaries	$ 512,051	$ 513,651	$ 456,852	$ 56,799
Employee Benefits and Taxes	163,770	164,036	127,558	36,478
Planning Commission	18,000	18,000	14,670	3,330
Postage	1,500	1,500	-	1,500
Printing and Publication	4,000	4,000	2,657	1,343
Professional Services	55,000	74,600	13,472	61,128
Membership Fees	3,000	3,000	2,357	643
Utilities	4,600	4,600	2,940	1,660
Repairs and Maintenance	1,500	1,500	161	1,339
Office Supplies	3,500	3,500	3,468	32
Gas, Oil, Diesel, Etc.	600	600	360	240
Miscellaneous	36,300	36,300	10,625	25,675
Total - City Planner	$ 803,821	$ 825,287	$ 635,120	$ 190,167
Buildings -				
Salaries	$ 220,681	$ 221,681	$ 222,973	$ (1,292)
Employee Benefits and Taxes	86,544	86,711	74,823	11,888
Utilities	77,356	77,356	67,006	10,350
Repairs and Maintenance	31,500	31,500	19,612	11,888
Other Contractual Services	18,000	23,878	15,673	8,205
Small Equipment	1,500	1,500	1,218	282
Operating Supplies	2,300	2,300	2,338	(38)
Janitorial Supplies	8,000	9,733	8,580	1,153
Gas, Oil, Diesel, Etc.	6,000	6,000	1,958	4,042
Miscellaneous	3,500	3,500	990	2,510
Total - Buildings	$ 455,381	$ 464,159	$ 415,171	$ 48,988
Codes -				
Salaries	$ 826,968	$ 904,753	$ 927,038	$ (22,285)
Employee Benefits and Taxes	289,240	308,296	255,907	52,389
Postage	720	720	-	720
Printing and Publication	10,600	10,600	5,040	5,560
Membership Fees	5,000	5,000	2,633	2,367
Utilities	15,000	15,000	12,511	2,489
Repairs and Maintenance	3,500	3,500	1,707	1,793
Other Professional Services	130,000	130,000	166,886	(36,886)
Office Supplies	4,000	6,500	4,317	2,183
Gas, Oil, Diesel, Etc.	11,000	11,000	12,261	(1,261)
Miscellaneous	30,800	38,335	72,563	(34,228)
Total - Codes	$ 1,326,828	$ 1,433,704	$ 1,460,863	$ (27,159)
Community Services -				
July 4th Celebration	$ 28,925	$ 38,925	$ 20,500	$ 18,425
Appropriations to Non-Profits	236,000	236,000	231,200	4,800
Total Community Service	$ 264,925	$ 274,925	$ 251,700	$ 23,225
Total General Government	$ 8,373,670	$ 8,968,692	$ 7,717,866	$ 1,250,826

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Public Safety -				
Police -				
Salaries	$ 5,406,908	$ 5,503,448	$ 5,377,659	$ 125,789
Employee Benefits and Taxes	2,122,505	2,137,314	1,748,212	389,102
Postage	3,000	3,000	3,460	(460)
Printing and Publications	29,400	29,400	20,935	8,465
Membership Fees	3,500	3,500	5,368	(1,868)
Public Relations	1,500	3,000	2,528	472
Utilities	86,455	86,455	86,111	344
Physicals	8,000	8,000	13,157	(5,157)
Data Processing Services	30,000	30,000	18,918	11,082
Consulting Services	-	430,603	130,413	300,190
Repairs and Maintenance	74,000	74,000	92,829	(18,829)
Travel	9,000	24,771	11,898	12,873
Other Contractual Services	35,000	35,000	34,766	234
Inmate Crew Expense	1,200	1,200	-	1,200
Reserve Officers Expense	6,000	6,000	13,451	(7,451)
Office Supplies	4,000	14,900	4,970	9,930
Small Office Equipment	3,000	51,309	28,237	23,072
Operating Supplies	32,000	272,000	32,557	239,443
Janitorial Supplies	4,500	4,500	5,376	(876)
Clothing and Uniforms	40,000	40,000	51,393	(11,393)
Fire Arm Supplies	20,000	20,000	19,563	437
Other Operating Supplies	3,000	3,000	3,245	(245)
Gas, Oil, Diesel, Etc.	150,500	150,500	161,132	(10,632)
Other Supplies	3,000	3,000	2,240	760
Traffic Light Camera Expense	110,000	110,000	75,670	34,330
Other Grants and Donations	1,019,445	1,019,445	739,978	279,467
Total - Police	$ 9,205,913	$ 10,064,345	$ 8,684,066	$ 1,380,279
Fire Department -				
Salaries	$ 4,838,712	$ 5,042,627	$ 4,879,287	$ 163,340
Employee Benefits and Taxes	1,897,173	1,900,370	1,541,163	359,207
Printing and Publications	1,500	1,500	1,168	332
Membership Fees	6,000	6,000	4,266	1,734
Utilities	64,305	64,305	62,982	1,323
Physicals	50,500	50,500	45,342	5,158
Repairs and Maintenance	171,000	191,188	200,301	(9,113)
Travel	10,000	10,000	4,153	5,847
Other Contractual Services	20,000	20,000	18,492	1,508
Training	70,000	70,000	79,248	(9,248)
Office Supplies	2,000	2,000	1,512	488
Small Office Equipment	500	500	1,069	(569)
Operating Supplies	20,000	20,000	10,334	9,666
Janitorial Supplies	12,000	12,000	11,652	348
Clothing and Uniforms	30,000	30,000	28,045	1,955
Fire Prevention Supplies	4,000	4,000	4,334	(334)
Gas, Oil, Diesel, Etc.	85,000	85,000	66,579	18,421
Miscellaneous	28,150	28,150	33,490	(5,340)
Total - Fire Department	$ 7,310,840	$ 7,538,140	$ 6,993,417	$ 544,723
Total - Public Safety	$ 16,516,753	$ 17,602,485	$ 15,677,483	$ 1,925,002

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Engineering -				
Salaries	$ 432,184	$ 508,353	$ 448,180	$ 60,173
Employee Benefits and Taxes	137,151	160,351	127,253	33,098
Printing	3,500	3,500	2,778	722
Licenses	1,540	1,540	1,417	123
Membership Fees	1,150	1,150	680	470
Utilities	10,400	10,800	8,350	2,450
Street Light	-	-	29	(29)
Professional Services	50,000	50,000	26,878	23,122
Repairs and Maintenance	7,000	7,000	4,771	2,229
Office Supplies	1,500	1,500	1,277	223
Operating Supplies	3,250	12,900	11,993	907
Gas, Oil, Diesel, Etc.	2,700	2,700	2,494	206
Miscellaneous	3,308	3,308	2,292	1,016
Total - Engineering	$ 653,683	$ 763,102	$ 638,392	$ 124,710
Public Works -				
Salaries	$ 270,549	$ 271,349	$ 245,176	$ 26,173
Employee Benefits and Taxes	84,388	84,521	67,319	17,202
Utilities	1,800	1,800	1,435	365
Repairs and Maintenance	9,200	9,200	16,511	(7,311)
Gas, Oil, Diesel, Etc.	11,700	11,700	14,960	(3,260)
Miscellaneous	378,650	488,914	419,724	69,190
Total - Public Works	$ 756,287	$ 867,484	$ 765,125	$ 102,359
Highways and Streets -				
Salaries	$ 789,017	$ 802,412	$ 615,105	$ 187,307
Employee Benefits and Taxes	347,934	348,482	213,090	135,392
Utilities	12,700	12,700	8,541	4,159
Physicals	1,000	1,000	1,411	(411)
Repairs and Maintenance	156,000	167,437	102,298	65,139
Travel	1,000	1,000	679	321
Other Contractual Services	10,000	10,000	5,196	4,804
Operating Supplies	2,560	2,560	1,534	1,026
Agricultural and Horticultural Supplies	4,000	4,000	5,399	(1,399)
Janitorial Supplies	500	500	899	(399)
Clothing and Uniforms	7,500	7,500	4,136	3,364
Other Operating Supplies	1,500	1,500	1,501	(1)
Gas, Oil, Diesel, Etc.	63,000	63,000	34,554	28,446
Consumable Tools	3,500	3,500	2,439	1,061
Sign Parts and Supplies	10,000	10,000	18,243	(8,243)
Demolition and Mowing	20,000	20,469	21,647	(1,178)
Other Supplies	1,500	1,500	1,105	395
Inmate Crew Expense	10,000	10,000	1,840	8,160
Miscellaneous	7,200	20,209	5,816	14,393
Total - Highways and Streets	$ 1,448,911	$ 1,487,769	$ 1,045,433	$ 442,336

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Vehicle Maintenance -				
Salaries	$ 266,271	$ 267,271	$ 267,150	$ 121
Employee Benefits and Taxes	94,123	94,290	81,678	12,612
Utilities	12,400	12,400	10,524	1,876
Repairs and Maintenance	232,000	232,000	219,734	12,266
Operating Supplies	1,500	1,500	1,368	132
Clothing and Uniforms	1,000	1,000	968	32
Maintenance Supplies	500	500	390	110
Gas, Oil, Diesel, Etc.	4,500	4,500	3,103	1,397
Miscellaneous	4,100	4,100	278	3,822
Total - Vehicle Maintenance	$ 616,394	$ 617,561	$ 585,193	$ 32,368
Parks and Recreation -				
Civic Center -				
Salaries	$ 855,836	$ 798,055	$ 664,442	$ 133,613
Employee Benefits and Taxes	192,313	193,135	161,873	31,262
Postage	2,100	2,100	1,105	995
Printing and Publications	4,500	4,500	2,650	1,850
Utilities	205,100	205,100	150,789	54,311
Employee Physicals	1,000	1,000	1,844	(844)
Repairs and Maintenance	33,000	460,019	437,142	22,877
Other Contractual Services	110,000	110,690	120,014	(9,324)
Operating Supplies	70,000	71,197	60,391	10,806
Food	50,000	51,092	18,853	32,239
Janitorial Supplies	15,000	16,920	10,616	6,304
Miscellaneous	22,500	22,500	14,611	7,889
Total - Civic Center	$ 1,561,349	$ 1,936,308	$ 1,644,330	$ 291,978
Golf Course -				
Salaries	$ 474,624	$ 478,024	$ 509,556	$ (31,532)
Employee Benefits and Taxes	162,209	162,613	132,090	30,523
Printing and Publications	150	150	108	42
Membership Fees	1,600	1,600	1,310	290
Utilities	46,100	46,100	32,662	13,438
Physicals	200	200	540	(340)
Repairs and Maintenance	11,500	11,500	9,386	2,114
Other Contractual Services	15,000	15,000	5,062	9,938
Items for Resale	15,000	15,000	18,803	(3,803)
Operating Supplies	20,000	20,000	20,417	(417)
Agricultural and Horticultural Supplies	60,000	60,000	46,840	13,160
Food	30,000	30,000	22,065	7,935
Clothing and Uniforms	2,000	2,000	3,904	(1,904)
Gas, Oil, Diesel, Etc.	14,500	14,500	10,554	3,946
Other Equipment Parts	25,000	25,000	25,280	(280)
Repair Parts for Water/Sewer Lines	4,000	4,000	2,055	1,945
Beer for Resale	15,000	15,000	14,923	77
Discount Credit Card	16,000	16,000	22,490	(6,490)
Miscellaneous	1,550	1,550	846	704
Total - Golf Course	$ 914,433	$ 918,237	$ 878,891	$ 39,346

(continued)

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Parks -				
Salaries	$ 1,055,155	$ 1,059,455	$ 971,282	$ 88,173
Employee Benefits and Taxes	321,795	322,394	285,639	36,755
Printing and Publications	1,500	1,500	1,439	61
Memberships	2,000	2,000	1,833	167
Public Relations	10,000	10,000	5,930	4,070
Utilities	120,000	120,000	119,026	974
Repairs and Maintenance	58,000	58,000	57,586	414
Travel	2,000	2,000	-	2,000
Other Contractual Services	55,000	55,000	76,524	(21,524)
Inmate Crew Meals	8,000	8,000	-	8,000
Small Equipment	5,000	5,000	10,272	(5,272)
Operating Supplies	75,000	78,595	65,369	13,226
Agricultural and Horticultural Supplies	20,000	20,000	19,764	236
Gas, Oil, Diesel, Etc.	40,000	40,000	48,883	(8,883)
Miscellaneous	3,400	3,400	1,668	1,732
Total - Parks	$ 1,776,850	$ 1,785,344	$ 1,665,215	$ 120,129
Total - Parks and Recreation	$ 4,252,632	$ 4,639,889	$ 4,188,436	$ 451,453
Economic Development -				
Economic Development Agency -				
Salaries	$ 227,581	$ 228,181	$ 225,556	$ 2,625
Employee Benefits and Taxes	70,221	70,321	65,902	4,419
Printing and Publications	5,000	5,000	5,245	(245)
Membership Fees	13,000	13,000	13,910	(910)
Public Relations	22,000	22,000	29,494	(7,494)
Utilities	1,800	1,800	2,033	(233)
Repairs and Maintenance	1,000	1,000	521	479
Professional Services	5,000	8,329	14,495	(6,166)
Travel	5,000	5,000	1,074	3,926
Office Supplies	2,250	2,250	2,183	67
Gas, Oil, Diesel, Etc.	1,250	1,250	605	645
Miscellaneous	20,600	20,600	11,251	9,349
Total - Economic Development Agency	$ 374,702	$ 378,731	$ 372,269	$ 6,462
Economic Development Utility -				
Professional Services	$ 30,000	$ 30,000	$ 4,145	$ 25,855
Repairs and Maintenance	15,000	15,000	9,767	5,233
Grants and Donations	7,500	7,500	-	7,500
Total - Economic Development Utility	$ 52,500	$ 52,500	$ 13,912	$ 38,588
Total - Economic Development	$ 427,202	$ 431,231	$ 386,181	$ 45,050
Tourism -				
Operating Supplies	$ 20,000	$ 20,000	$ -	$ 20,000
Miscellaneous	5,000	5,000	-	5,000
Total - Tourism	$ 25,000	$ 25,000	$ -	$ 25,000
Capital Outlay	$ 3,156,808	$ 15,420,201	$ 7,287,701	$ 8,132,500

(continued)

CITY OF GALLATIN, TENNESSEE

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance
Budget and Actual (continued)

Year Ended June 30, 2021

	Budgeted Amounts Original	Budgeted Amounts Final	Actual	Variance with Final Budget Positive (Negative)
Debt Service -				
Principal	$ 1,395,000	$ 1,395,000	$ 1,395,000	$ -
Interest	684,050	684,050	684,050	-
Bond Fees	1,085	1,085	600	485
Total - Debt Service	$ 2,080,135	$ 2,080,135	$ 2,079,650	$ 485
TOTAL EXPENDITURES	$ 38,307,475	$ 52,903,549	$ 40,371,460	$ 12,532,089
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ (3,673,453)	$ (11,093,100)	$ 7,312,620	$ 18,405,720
Other Financing Sources and Uses -				
In Lieu of Payment - Utility	$ 1,740,000	$ 1,740,000	$ 1,891,977	$ 151,977
Transfers from Other Funds	-	-	2,000,000	2,000,000
Transfers to Other Funds	-	(17,655)	-	17,655
Total Other Financing Sources and Uses	$ 1,740,000	$ 1,722,345	$ 3,891,977	$ 2,169,632
Net Change in Fund Balance	$ (1,933,453)	$ (9,370,755)	$ 11,204,597	$ 20,575,352
Fund Balance at Beginning of Year	18,875,343	18,875,343	18,875,343	-
Fund Balance at End of Year	$ 16,941,890	$ 9,504,588	$ 30,079,940	$ 20,575,352

See notes to financial statements.

CITY OF GALLATIN TENNESSEE

Statement of Fiduciary Net Position
Pension Trust Fund - Electric Department

June 30, 2021

		Pension Trust Fund
ASSETS		
Cash and cash equivalents		$ 475,137
Receivables -		
Employee contributions		9,160
Employer contributions		50,000
Investment income		28,566
Investments -		
Mutual funds		2,618,196
US government and municipal obligations		1,790,896
Corporate bonds and debentures		3,321,591
Common stocks		6,331,595
	Total Assets	$ 14,625,141
LIABILITIES		
Payables -		
Trustee / Custody fees		$ 848
Investment management fees		17,084
	Total Liabilities	$ 17,932
NET POSITION		
Net Position -		
Restricted for pensions		$ 14,607,209

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Statement of Changes in Fiduciary Net Position
Pension Trust Fund - Electric Department

For the Fiscal Year Ended June 30, 2021

	Pension Trust Fund
Additions -	
Contributions -	
Employees	$ 59,095
Employer	750,000
Total Contributions	$ 809,095
Investment Income -	
Net appreciation in fair value of investments	$ 2,818,015
Interest and dividends	259,489
	$ 3,077,504
Less: Investment fees	(72,958)
Net investment gain	$ 3,004,546
Total Additions	$ 3,813,641
Deductions -	
Benefit Payments	$ 688,070
Total Deductions	$ 688,070
Change in Net Position	$ 3,125,571
Total Net Position - Beginning	11,481,638
Total Net Position - Ending	$ 14,607,209

See notes to the financial statements.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The City of Gallatin's financial statements are prepared in accordance with generally accepted accounting principles (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The more significant accounting policies established in GAAP and used by the City of Gallatin are discussed below.

A. Reporting Entity

The City of Gallatin, Tennessee (the City) operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by generally accepted accounting principles, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related Organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (Housing Authority), but the City's accountability for this organization does not extend beyond making the appointments. The Board of the Housing Authority is appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority, and cannot impose its will upon the operations of the Housing Authority. Accordingly, the Housing Authority has not been included in the reporting entity. The City has no component units.

Joint Venture

The City is a participant in the Sumner County Resource Authority (Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

B. Government-Wide and Fund Financial Statements

Government-Wide Financial Statements

The government-wide financial statements (the Statement of Net Position and the Statement of Activities) report information on all of the activities of the City. As a rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given program are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific program. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given program and 2) operating or capital grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Taxes and other items not included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the respective fund financial statements.

Fund Financial Statements

The government uses funds to report on its financial position and the results of its operations. Fund accounting is designed to demonstrate legal compliance and to aid financial management by segregating transactions related to certain government functions or activities. A fund is a separate accounting entity with a self-balancing set of accounts.

The City has its funds classified into two categories: governmental and proprietary. Each category, in turn, is divided into separate "fund types."

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES – continued

B. Government-Wide and Fund Financial Statements - continued

Governmental funds are used to account for all or most of a government's general activities including the collection and disbursement of earmarked monies (special revenue funds) and the acquisition or construction of general fixed assets (capital projects funds). The General Fund is used to account for all activities of the general government not accounted for in some other fund.

Proprietary funds are used to account for activities similar to those found in the private sector, where the determination of net income is necessary or useful to sound financial administration. Goods or services from such activities can be provided either to outside parties (enterprise funds) or to other departments or agencies primarily within the government (internal service funds).

The City reports the following major governmental funds:

The General Fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The General Fund also includes the accounting for all solid waste revenues and expenditures.

The Capital Projects Fund focuses on project-to-date costs for many projects within the City. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays of governmental fund types including the acquisition and construction of capital facilities and other capital assets.

The City reports the following major proprietary funds:

The Electric Fund accounts for the activities of the government's electric distribution operations.

The Water and Sewer Fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations, and sewage collection system.

The Gas Fund accounts for the activities of the government's gas distribution operations.

Additionally, the City reports the following fiduciary fund:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity's pension plan.

C. Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are assessed. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers all revenues to be available in the period for which levied if they are collected within 60 days of the end of the current fiscal period. Those revenues susceptible to accrual are property taxes, franchise taxes, special assessments, licenses, interest revenue, and charges for services. Fines, permits, and parking meter revenues are not susceptible to accrual because generally they are not measurable until received in cash. Expenditures are recorded when the related fund liability is incurred. Principal and interest on long-term debt are recorded as fund liabilities when due. Operating statements of these funds present increases (i.e., revenues and other financing sources) and decreases (i.e., expenditures and other financing uses) in fund balances.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

C. Measurement Focus and Basis of Accounting – continued

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. Operating expenses for the proprietary funds include the necessary costs to provide the services including the cost of personnel and contractual services, supplies, and depreciation on capital assets. Charges for sales and services are reported net of discounts and allowances of $23,507. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

D. Cash and Cash Equivalents

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statues authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool of shares.

E. Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1 the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgement.

F. Inventories and Prepaid Items

Inventories of the Water and Sewer, and Gas Funds are valued at the lower cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General Fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

G. Restricted Assets

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

The TCRS Stabilization Fund consist of amounts held in a pension stabilization trust by the Tennessee Consolidated Retirement System (TCRS) for the benefit of the City's TCRS Hybrid Plan. The purpose of this trust is to accumulate funds to provide stabilization (smoothing) of retirement costs to the City in times of fluctuating investment returns and market downturns. These funds are held and invested by TCRS pursuant to an irrevocable agreement and may only be used for the benefit of the City to fund retirement benefits upon approval of the TCRS Board of Directors. To date, the City has not withdrawn any funds from the trust to pay pension cost. Trust documents provide that the funds are not subject to the claims of general creditors of the City.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

G. Restricted Assets - continued

Amounts received from outside sources have been classified as restricted assets on the balance sheet of the Capital Projects Fund. The use of these funds is limited by outside sources. Proceeds from the general obligation bonds are required to be kept separate and apart from all other funds of the City and to be spent for capital projects as outlined in the loan agreements. The amount of these restricted funds at June 30, 2021 is $9,011,661.

In addition, cash held as retainage that is due to contractors at the end of City projects is required to be maintained separately. The amount of these funds restricted in this manner as of June 30, 2021, was $177,509 in the General Fund, $230,066 in the Water and Sewer Fund, and $115,734 in the Gas Fund.

Cash in the amount of $7,756 in the Electric Fund is restricted, per an agreement with the State, for workers' compensation premium audit adjustments as of June 30, 2021.

H. Capital Assets

Capital assets, including property, plant, and equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than $2,500 and an estimated useful life in excess of two years. All land, construction in progress, and works of art will be included. The electric fund uses a capitalization threshold of $2,000; water and sewer, and gas funds use a threshold of $500; and all three funds use an estimated useful life in excess of five years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight-line method using the following useful lives:

	Estimated Useful Life (Years)
Buildings and improvements	25-50
Transmission and distribution systems	10-50
General plant	10-50
Machinery, equipment, and rolling stock	3-10
Office furniture and equipment	3-10
Improvements other than buildings	50

Total depreciation expense for proprietary funds amounted to $6,765,752 for the year ended June 30, 2021. Some of this depreciation was charged to expense accounts other than the depreciation accounts in the Electric Fund. Depreciation accounted for in this manner results in a difference between depreciation reported in the accompanying statement of revenues, expenses and changes in net position and the amount reported in the footnotes. A reconciliation of this difference is provided below:

	Total Proprietary Funds
Depreciation expense reported in Note 6	$ 6,903,585
Provision for depreciation on statement of revenues, expenses, and changes in net position	6,765,752
Difference (depreciation charged to other operating expense accounts)	$ 137,833

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

I. Compensated Absences

Vacation pay is accumulated by classified full-time employees according to the following schedule:

Years Service	Annual Vacation Leave
0-1 years	5 days
2-5 years	10 days
6-10 years	12 days
11-15 years	15 days
16-18 years	18 days
19 or more years	21 days

Sick leave is accumulated at the rate of one day per month. At retirement, an employee will be paid accumulated sick leave ranging from 20-50% based on either their age or years of service on their effective date of retirement.

J. Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financial sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

K. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. The separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then. In the governmental activities statement of net position, the City reports deferred charge on refunding in this category. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. The City also reports deferred outflows related to pensions and other post-employment benefits.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element for deferred inflows of resources represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

The City reports unavailable property taxes and unavailable court fines revenue as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year are reported as deferred inflows of resources. The City reports certain amounts related to pension and other post-employment benefits as a deferred inflow of resources in the statement of net position as well.

L. Fund Balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable Fund Balance

This classification includes amounts that are (a) not in spendable form or (b) legally or contractually required to be maintained intact. The “not in spendable form” criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES – continued

L. Fund Balance (continued)

Restricted Fund Balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Committed Fund Balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned Fund Balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the General Fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. The Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used to source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned Fund Balance

This fund balance is the residual classification for the General Fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the General Fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that result in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, increasing revenues or pursuing other fund sources, or a combination of the two.

M. Fund Balance Flow Assumptions

Sometimes the City will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

N. Net Position

Restricted net position is net position less related liabilities reported in the government-wide statement of net position that have limitations imposed on their use through constitutional provisions, enabling legislation or external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

NOTE 1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

N. Net Position – continued

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

O. Net Position Flow Assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

P. Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that effect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Q. Pensions

City Funds

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of the TCRS. Investments are reported at fair value.

Gallatin Department of Electricity

The net pension liability for the department was measured as of June 30, 2020 pursuant to GASB 68, effective for years beginning after June 15, 2014, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The department chose to use this date due to the information GASB 68 now requires.

The new requirement establishes standards for calculating and reporting the net pension liability and pension expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net pension liability and pension expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net pension liability reported at June 30, 2021 is the net pension liability determined at June 30, 2020 and the pension expense reflects the activity for FY 2020. This approach is made possible with the accounts deferred outflows of resources and deferred inflows of resources. This same approach will be applied consistently going forward.

R. Other Post-Employment Benefit (OPEB) Plan

Gallatin Department of Electricity

The net OPEB (Other Post-Employment Benefit) liability for the department was measured as of June 30, 2020 pursuant to GASB 75, effective for years beginning after June 15, 2017, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The department chose to use this date due to the information GASB 75 now requires. The new requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2021 is the net OPEB liability determined at June 30, 2020 and the OPEB expense reflects the activity for FY 2020. This approach is made possible with the accounts deferred outflows of resources and deferred inflows of resources. This same approach will be applied consistently going forward.

NOTE 2. RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

A. Explanation of Certain Differences Between the Balance Sheet of Governmental Funds and the Government-Wide Statement of Net Position

The governmental fund balance sheet includes a reconciliation between fund balance – total governmental funds and net position – governmental activities as reported in the government-wide statement of net position. One element of the reconciliation explains that "receivables are not available to pay for current expenditures and, therefore, are deferred in the funds." The details of the difference are as follows:

Unavailable property taxes	$ 627,561
Unavailable court fines	32,224
Net adjustments	$ 659,785

B. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-Wide Statement of Activities

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances – total government funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that "governmental funds report capital outlays as expenditures; however, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period." The details of the difference are as follows:

Capital outlay	$ 16,670,921
Depreciation expense	(4,286,490)
Net adjustments	$ 12,384,431

NOTE 3. STEWARDSHIP, COMPLIANCE, AND ACCOUNTABILITY

A. Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the General Fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year-end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the electric fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

NOTE 4. DEPOSITS AND INVESTMENTS

A. General Information

As of June 30, 2021, the City of Gallatin, Tennessee's Electric Department had $5,139,550 and the General Fund had $1,932,400 in certificates of deposit with local financial institutions.

As of June 30, 2021, the cemetery trust fund had $21,025 in unrated stock investments with no maturity. These investments are reported at fair value and are categorized for fair value measurement within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the asset and give the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

• Level 1 - Unadjusted quoted prices for identical assets or liabilities in active markets that can be accessed at the measurement date.

• Level 2 - Quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets or liabilities in markets that are not active; assets or liabilities that have a bid-ask spread price in an inactive dealer market, brokered market and principal-to-principal market; and Level 1 assets or liabilities that are adjusted.

• Level 3 - Valuations derived from valuation techniques in which significant inputs are unobservable.

The investments of the cemetery trust fund in the amount of $21,025 at June 30, 2021, has been classified as Level 1.

Deposits and Investments

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statutes require that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes, or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2021, all bank deposits were fully collateralized or insured.

B. TCRS Stabilization Trust – City Funds

Legal Provisions. The City is a member of the Tennessee Consolidated Retirement System (TCRS) Stabilization Reserve Trust. The City has placed funds into the irrevocable trust as authorized by statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the trust. Funds of trust members are held and invested in the name of the trust for the benefit of each member. Each member's funds are restricted for the payment of retirement benefits of that member's employees. Trust funds are not subject to the claims of general creditors of the City.

The trust is authorized to make investments as directed by the TCRS Board of Trustees. The City may not impose any restrictions on investments placed by the trust on their behalf. It is the intent of the plan trustees to allocate these funds in the future to offset pension costs.

NOTE 4. DEPOSITS AND INVESTMENTS - continued
B. TCRS Stabilization Trust – City Funds – continued
Investment Balances. Assets of the TCRS, including the Stabilization Reserve Trust, are invested in the Tennessee Retiree Group Trust (TRGT). The TRGT is not registered with the Securities and Exchange Commission (SEC) as an investment company. The State of Tennessee has not obtained a credit quality rating for the TRGT from a nationally recognized credit ratings agency. The fair value of investment positions in the TRGT is determined daily based on the fair value of the pool's underlying portfolio. Furthermore, TCRS had not obtained or provided any legally binding guarantees to support the value of participant shares during the fiscal year. There are no restrictions on the sale or redemption of shares.

Investments are reported at fair value. Securities traded on a national exchange are valued at the last reported sales price. Investment income consists of realized and unrealized appreciation (depreciation) in the fair value of investments and interest and dividend income. Interest income is recognized when earned. Securities and securities transactions are recorded in the financial statements on a trade-date basis. The fair value of assets of the TRGT held at June 30, 2021 represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. Assets held are categorized for fair value measurement within the fair value hierarchy established by GAAP as described in A. above.

Investments using the Net Asset Value ("NAV") per share have no readily determinable fair value and have been determined using amortized cost which approximates fair value.

Where inputs used in the measurement of fair value fall into different levels of the hierarchy, fair value of the instrument in its entirety is categorized based on the lowest level input that is significant to the valuation. This assessment requires professional judgement and as such management of the TRGT developed a fair value committee that worked in conjunction with the plan's custodian and investment professionals to make these valuations. All assets held were valued individually and aggregated into classes to be represented in the table on page 42.

Short-term securities generally include investments in money market-type securities reported at cost plus accrued interest.

Equity and equity derivative securities classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Equity and equity derivative securities classified in Level 2 are securities whose values are derived daily from associated traded securities. Equity securities classified in Level 3 are valued with the last trade data having limited trading volume.

U.S. Treasury Bills, Bonds, Notes, and Futures classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Debt and debt derivative securities classified in Level 2 are valued using a bid-ask spread price from multiple independent brokers, dealers, or market principals, which are known to be actively involved in the market. Level 3 debt securities are valued using proprietary information, a single pricing source, or other unobservable inputs related to similar assets or liabilities.

Real estate investments classified in Level 3 are valued using the last valuations provided by external investment advisors or independent external appraisers. Generally, all direct real estate investments are appraised by a qualified independent appraiser(s) with the professional designation of Member of the Appraisal Institute ("MAI"), or its equivalent, every three (3) years beginning from the acquisition date of the property. The appraisals are performed using generally accepted valuation approaches applicable to the property type.

Investments in private mutual funds, traditional private equity funds, strategic lending funds and real estate funds that report using GAAP, the fair value, as well as the unfunded commitments, were determined using the prior quarter's NAV, as reported by the fund managers, plus the current cash flows. These assets were then categorized by investment strategy. In instances where the fund investment reported using non-GAAP standards, the investment was valued using the same method, but was classified in Level 3.

NOTE 4. DEPOSITS AND INVESTMENTS – continued
B. TCRS Stabilization Trust – City Funds – continued

At June 30, 2021, the City had the following investments held by the trust on its behalf. These funds are recognized as restricted assets in the General Fund, Other Governmental Funds, the Water and Sewer Fund, and the Gas Fund of the City.

Investment	Weighted Average Maturity (days)	Maturities	Fair Value
Investments at Fair Value:			
U.S. Equity	N/A	N/A	$ 246,704
Developed Market International Equity	N/A	N/A	111,414
Emerging Market International Equity	N/A	N/A	31,832
U.S. Fixed Income	N/A	N/A	159,164
Real Estate	N/A	N/A	79,582
Short-term Securities	N/A	N/A	7,958
NAV - Private Equity and Strategic Lending	N/A	N/A	159,164
			$ 795,818

Investment by Fair Value Level	Fair Value 6/30/2021	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	NAV
U.S. Equity	$ 246,704	$ 246,704			
Developed Market International Equity	111,414	111,414			
Emerging Market International Equity	31,832	31,832			
U.S. Fixed Income	159,164		$ 159,164		
Real Estate	79,582			$ 79,582	
Short-term Securities	7,958		7,958		
Private Equity and Strategic Lending	159,164				$ 159,164
	$ 795,818	$ 389,950	$ 167,122	$ 79,582	$ 159,164

Risks and Uncertainties. The trust's investments include various types of investment funds, which in turn invest in any combination of stock, bonds and other investments exposed to various risks, such as interest rate, credit, and market risk. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported for trust investments.

Interest Rate Risk. Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The City does not have the ability to limit trust investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The City does not have the ability to limit the credit ratings of individual investments made by the trust.

Concentration of Credit Risk. Concentration of credit risk is the risk of loss attributed to the magnitude of the City's investment in a single issuer. The City places no limit on the amount the City may invest in one issuer.

NOTE 4. DEPOSITS AND INVESTMENTS - continued

B. TCRS Stabilization Trust – City Funds - continued

Custodial Credit Risk. Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty to a transaction, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. Pursuant to the trust agreement, investments are held in the name of the trust for the benefit of the City to pay retirement benefits of the employees.

For further information concerning the legal provisions, investment policies, investment types, and credit risks of the City's investments with the TCRS Stabilization Reserve Trust, audited financial statements of the Tennessee Consolidated Retirement System may be obtained at https://comptroller.tn.gov/content/dam/cot/sa/advanced.search/disclaimer/2020/ag20045.pdf.

NOTE 5. RECEIVABLES

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	General Fund	Capital Projects Fund	Electric Fund	Water & Sewer Fund	Gas Fund	Nonmajor and Other Funds	Total
Receivables:							
Property taxes	$ 13,869,890						$ 13,869,890
Interest	367,088					$ 24	367,112
Accounts	368,474		$ 6,464,751	$ 1,384,961	$ 1,365,886	449,270	10,033,342
Fines	2,103,853						2,103,853
Grants	862,847	$ 3,095,541					3,958,388
Intergovernmental	3,441,326						3,441,326
Gross receivables	$ 21,013,478	$ 3,095,541	$ 6,464,751	$ 1,384,961	$ 1,365,886	$ 449,294	33,773,911
Less: Allowance							
for uncollectibles	(2,374,488)			(416)	-	(23,672)	(2,398,576)
Net Total Receivables	$ 18,638,990	$ 3,095,541	$ 6,464,751	$ 1,384,545	$ 1,365,886	$ 425,622	31,375,335

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

	Unavailable	Unearned
Interest and penalty on property taxes receivable	$ 325,973	$ -
2021 property tax assessment	13,604,525	-
Other revenue collected in advance	-	64,162
Drug fund revenue held	-	111,233
Court fines	32,224	-
Total unavailable revenue for fund financial statements	$ 13,962,722	$ 175,395

NOTE 6. CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2021, was as follows:

	Balance June 30, 2020	Additions	Disposals	Transfers	Balance June 30, 2021
Governmental Activities (continued)					
Capital assets not being depreciated					
Land	$ 16,582,038	$ 36,000	$ -	$ -	$ 16,618,038
Construction in progress	44,711	212,747	-	-	257,458
Total capital assets not being depreciated	$ 16,626,749	$ 248,747	$ -	$ -	$ 16,875,496
Capital assets being depreciated					
Buildings	$ 23,370,686	$ 52,887	$ -	$ -	$ 23,423,573
Improvements other than buildings	110,339,693	16,970,604	-	-	127,310,297
Vehicles	15,044,654	1,962,752	(314,154)	-	16,693,252
Office equipment	2,411,538	18,331	(15,551)	-	2,414,318
Equipment	4,407,877	422,230	(91,328)	-	4,738,779
Total capital assets being depreciated	$ 155,574,448	$ 19,426,804	$ (421,033)	$ -	$ 174,580,219
Accumulated depreciation					
Buildings	$ 8,750,881	$ 546,092	$ -	$ -	$ 9,296,973
Improvements other than buildings	17,241,979	1,910,372	-	-	19,152,351
Vehicles	11,094,363	1,413,563	(314,154)	-	12,193,772
Office equipment	2,161,659	-	(15,551)	-	2,146,108
Equipment	2,659,089	416,463	(91,328)	-	2,984,224
Total accumulated depreciation	$ 41,907,971	$ 4,286,490	$ (421,033)	$ -	$ 45,773,428
Total capital assets being depreciated, net	$ 113,666,477	$ 15,140,314	$ -	$ -	$ 128,806,791
Total Governmental Activities, Net	$ 130,293,226	$ 15,389,061	$ -	$ -	$ 145,682,287

NOTE 6. CAPITAL ASSET - continued

	Balance June 30, 2020	Additions	Disposals	Transfers	Balance June 30, 2021
Business-Type Activities					
Capital assets not being depreciated					
Land	$ 4,043,750	$ -	$ -	$ -	$ 4,043,750
Construction in progress	1,918,581	5,576,700	(1,076,939)	-	6,418,342
Total capital assets not being depreciated	$ 5,962,331	$ 5,576,700	$ (1,076,939)	$ -	$ 10,462,092
Capital assets being depreciated					
Transmission plant	$ 919,140	$ 579,265	$ (60,563)	$ -	$ 1,437,842
Distribution plant	239,187,192	13,178,665	(830,996)	-	251,534,861
General plant	4,649,766	533,008	-	-	5,182,774
Buildings	43,110,257	-	-	-	43,110,257
Operating equipment	3,343,459	118,565	-	-	3,462,024
Rolling stock	4,028,635	150,539	-	-	4,179,174
Office furniture and equipment	705,930	-	-	-	705,930
Total capital assets being depreciated	$ 295,944,379	$ 14,560,042	$ (891,559)	$ -	$ 309,612,862
Accumulated depreciation					
Transmission plant	$ 460,787	$ 31,031	$ (111,998)	-	$ 379,820
Distribution plant	94,109,251	5,534,379	(892,230)	-	98,751,400
General plant	2,753,752	240,835	-	-	2,994,587
Buildings	16,207,223	646,225	-	-	16,853,448
Operating equipment	2,517,818	139,849	-	-	2,657,667
Rolling stock	3,305,393	300,646	-	-	3,606,039
Office furniture and equipment	662,847	10,620	-	-	673,467
Total accumulated depreciation	$ 120,017,071	$ 6,903,585	$ (1,004,228)	$ -	$ 125,916,428
Total capital assets being depreciated, net	$ 175,927,308	$ 7,656,457	$ 112,669	$ -	$ 183,696,434
Total Business-Type Activities, Net	$ 181,889,639	$ 13,233,157	$ (964,270)	$ -	$ 194,158,526
Total Capital Assets, Net	$ 312,182,865	$ 28,622,218	$ (964,270)	$ -	$ 339,840,813

Included in the additions for the governmental activities are $3,004,629 in donated infrastructure from developers. Included in the additions for the business-type activities are $1,976,362 in donated utility lines from developers.

Acquisition adjustments – Acquisition adjustments represent the excess of purchase price over depreciated cost of additions to the electric plant acquired from others. The acquisition adjustments are being amortized against income on a straight-line basis as determined by the Tennessee Valley Authority (TVA). The total cost was $2,355,534 with current year amortization of $42,240 and total accumulated amortization of $2,355,534, for an ending balance of $0.

NOTE 6. CAPITAL ASSET - continued
Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities:		
General government	$	1,779,308
Public safety		1,132,306
Environmental services		293,153
Highways and streets		349,818
Parks and recreation		731,905
Total depreciation expense - governmental activities	$	4,286,490
Business-Type Activities:		
Electric - (see Note 1. H.)	$	2,108,569
Water and Sewer		3,609,566
Gas		1,185,450
Total depreciation expense - business-type activities	$	6,903,585

NOTE 7. INTERFUND RECEIVABLES, PAYABLES, AND TRANSFERS
The following is a summary of transfers during the year ended June 30, 2021:

Transfers From	Transfers To		Amount
Water and sewer fund	General fund	$	489,229
Gas fund	General fund		417,010
Electric fund	General fund		985,738
Capital projects fund	General fund		2,000,000
		$	3,891,977
Governmental fund activities eliminated			(3,891,977)
Total Government-Wide		$	-

The transfers between the proprietary funds and the General Fund are for the purpose of transferring in lieu of tax payments. The transfer between the Capital Projects Fund and the General Fund was for the purpose of transferring bond proceeds to reimburse the General Fund for a land purchase in the prior year.

NOTE 8. LONG-TERM DEBT
Governmental activities debt at June 30, 2021 is comprised of the following:

Bonds Payable -		
General Obligation Improvement Bonds, Series 2014, due in annual installments from $375,000 to $1,090,000 through January 2034, interest at 2.00% to 5.00%	$	9,455,000
General Obligation Bonds, Series 2016, due in annual installments from $430,000 to $700,000 through January 2036, interest at 2.00% to 5.00%		8,700,000
General Obligation Bonds, Series 2021, due in annual installments from $325,000 to $630,000 through January 2041, interest at 2.00% to 5.00%		9,725,000
Total Bonds Payable	$	27,880,000

NOTE 8. LONG-TERM DEBT - continued

The aforementioned bonds are secured by the full faith and credit of the City. During 2021, debt service for the aforementioned debt was provided by the City's General Fund.

Business-type activities debt at June 30, 2021 is comprised of the following:

Bonds Payable -	
Water and Sewer Revenue Bonds, Series 2015, due in annual installments from $500,000 to $1,825,000 through January 2040, interest at 3.00% to 5.00%	$ 19,295,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from $265,000 to $570,000 through August 2030, interest at 2.00% to 5.00%	2,965,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from $25,000 to $635,000 through July 2032, interest at 2.00% to 3.625%	6,365,000
Gas Revenue Bonds, Series 2019, due in annual installments from $190,000 to $380,000 through January 2039, interest at 3.00% to 5.00%	5,140,000
	$ 33,765,000

The aforementioned bonds are secured by revenue streams of the Gas and Water and Sewer funds. During 2021, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding at June 30, 2021 are as follows:

	Governmental Activities		Business-Type Activities			
Year Ended	General Obligation Bonds		Revenue Bonds		Total	
June 30,	Principal Due	Interest	Principal Due	Interest	Principal Due	Interest
2022	$ 1,745,000	$ 970,589	$ 2,075,000	$ 1,340,498	$ 3,820,000	$ 2,311,087
2023	1,780,000	911,850	2,145,000	1,256,749	3,925,000	2,168,599
2024	1,835,000	846,600	2,245,000	1,173,798	4,080,000	2,020,398
2025	1,895,000	754,850	2,345,000	1,086,899	4,240,000	1,841,749
2026	1,965,000	670,200	2,415,000	998,929	4,380,000	1,669,129
2027-2031	8,045,000	2,264,600	13,140,000	3,570,305	21,185,000	5,834,905
2032-2036	7,595,000	882,832	7,160,000	1,033,017	14,755,000	1,915,849
2037-2041	3,020,000	183,700	2,240,000	185,689	5,260,000	369,389
	$ 27,880,000	**$** 7,485,221	**$** 33,765,000	**$** 10,645,884	**$** 61,645,000	**$** 18,131,105

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements. The above bonds and notes payable contain provisions that in the event of default, the lenders can exercise one or more of the following options: 1) make the outstanding bond and/or note payable with accrued interest due and payable, 2) use remedies allowed by state or federal law.

NOTE 8. LONG-TERM DEBT – continued

Long-term liability activity for the year ended June 30, 2021 was as follows:

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within 1 Year
Governmental Activities -					
General Obligation Bonds	$ 19,550,000	$ 9,725,000	$ (1,395,000)	$ 27,880,000	$ 1,745,000
Premium on Bond Issue	1,553,267	1,387,853	(565,231)	2,375,889	251,837
Total Long-term Debt	$ 21,103,267	$ 11,112,853	$ (1,960,231)	$ 30,255,889	$ 1,996,837

Changes in other long-term obligations activity for the year ended June 30, 2021, was as follows:

Compensated Absences	$ 1,700,018	$ 717,591	$ (564,167)	$ 1,853,442	$ 717,591
Total Other Long-term Obligations	$ 1,700,018	$ 717,591	$ (564,167)	$ 1,853,442	$ 717,591

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within 1 Year
Business-Type Activities -					
Revenue and Tax Bonds	$ 35,780,000	$ -	$ (2,015,000)	$ 33,765,000	$ 2,075,000
Premium on Bond Issue	3,239,685	-	(706,363)	2,533,322	194,886
Total Long-term Debt	$ 39,019,685	$ -	$ (2,721,363)	$ 36,298,322	$ 2,269,886

Changes in other long-term obligations activity for the year ended June 30, 2021, was as follows:

Compensated Absences	$ 829,982	$ 469,990	$ (465,795)	$ 834,177	$ 590,288
OPEB liability	503,527	128,427	-	631,954	-
Total Other Long-term Obligations	$ 1,333,509	$ 598,417	$ (465,795)	$ 1,466,131	$ 590,288

Within the City's governmental activities, compensated absences are generally liquidated by the General Fund. The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

The bonds payable for all systems contain provisions that in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

Advance Refunding of Bonds

In August 2014, the City issued $5.46 million in Water and Sewer Revenue Refunding and Improvement Bonds with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including a $44,654 premium and $12,704 in issuance costs, were used to advance refund $870 thousand of outstanding Water and Sewer Revenue and Tax bonds Series 2004 with interest rates ranging from 3.375% to 3.50%. Net proceeds of $874,336 were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds has been removed from the financial statements. This refunding decreased total debt service payments over the next 3 years by an estimated $33 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately $32 thousand.

NOTE 8. LONG-TERM DEBT - continued

In August 2014, the City issued $14.185 million in General Obligation Refunding and Improvement Bond with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including an $884,045 premium and $157,253 in issuance costs were used to advance refund $22.56 million of outstanding Water and Sewer Revenue and Tax bond series 2008 with interest rates ranging from 3.50% to 5.00%. Net proceeds of $22.48 million plus $2.68 million of debt service reserve funds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated $2.15 million resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately $1.28 million.

In prior years, the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirement on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2021, outstanding bonds considered as defeased were as follows:

General Obligation Public Improvements Bonds - Series 2007	$ 5,130,000
Water and Sewer Revenue and Tax Bonds - Series 2008	$ 20,010,000

NOTE 9. PENSION PLAN - CITY FUNDS

A. General Information About the Pension Plan

Plan Description.

Employees of the City are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies.

Benefits Provided

Tennessee Code Annotated, Title 8, Chapters 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 65 with 5 years of service credit or pursuant to the rule of 90 in which the member's age and service credit total 90. Benefits are determined by a formula using the member's highest five consecutive years average compensation and the member's service credit. Reduced benefits for early retirement are available at age 60 and vested or pursuant to the rule of 80 in which the member's age and service credit total 80. Members vest with five years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service-related and nonservice-related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

NOTE 9. PENSION PLAN - CITY FUNDS - continued

A. General Information About the Pension Plan – continued

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2020, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	0
Inactive employees entitled to but not yet receiving benefits	30
Active employees	226
Total Employees	256

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. The City makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2021, the employer contributions for the City were $190,332 based on a rate of 4 percent of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept the City's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

B. Net Pension Liability (Asset)

Pension Liabilities (Assets)

The City's net pension liability (asset) was measured as of June 30, 2020, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of June 30, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	7.25 percent, net of pension plan investment expenses, including inflation
Cost of living adjustments	2.25 percent, if provided

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2020 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2012 through June 30, 2016. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

NOTE 9. PENSION PLAN - CITY FUNDS - continued

B. Net Pension Liability (Asset) - continued

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2016 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.5 percent. The best estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset Class	Long-Term Expected Real Rate of Return	Target Allocation
U.S. equity	5.69%	31%
Developed market international equity	5.29%	14%
Emerging market international equity	6.36%	4%
Private equity and strategic lending	5.79%	20%
U.S. fixed income	2.01%	20%
Real estate	4.32%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 7.25 percent based on a blending of the factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 7.25 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from the City will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

NOTE 9. PENSION PLAN - CITY FUNDS - continued

C. Changes in the Net Pension Liability (Asset)

	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (Asset) (a) - (b)
Balance at June 30, 2019	$ 425,813	$ 432,915	$ (7,102)
Changes for the year:			
Service cost	$ 575,836		$ 575,836
Interest	72,620		72,620
Differences between expected and actual experience	153,571		153,571
Change of benefit terms			
Changes in assumptions			
Contributions - employer		170,527	(170,527)
Contributions - employee		513,637	(513,637)
Net investment income		37,963	(37,963)
Benefit payments, including refunds of employee contributions			
Administrative expense		(19,265)	19,265
Other changes			
Net changes	$ 802,027	$ 702,862	$ 99,165
Balance at June 30, 2020	$ 1,227,840	$ 1,135,777	$ 92,063

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate

The following presents the net pension liability (asset) of the City calculated using the discount rate of 7.25 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Net pension liability (asset)	$ 429,805	$ 92,063	$ (163,579)

D. Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense (negative pension expense)

For the year ended June 30, 2021, the City recognized pension expense (negative pension expense) of $113,831.

NOTE 9. PENSION PLAN - CITY FUNDS - continued

D. Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions - continued

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2021, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 141,758	$ -
Net difference between projected and actual earnings on pension plan investments	13,775	-
Changes in assumptions	-	-
Total to be amortized	$ 155,533	$ -
Contributions subsequent to the measurement date of June 30, 2020	190,332	-
	$ 345,865	$ -

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2020," will be recognized as a reduction (increase) to net pension liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30	Amount
2022	$ 15,236
2023	15,236
2024	15,236
2025	15,318
2026	11,813
Thereafter	82,694

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

E. Defined Contribution Plans

The City has two defined contribution plans. One is the State of Tennessee Deferred Compensation Plan II – 401(k) (the Hybrid Plan) which was adopted by the City in 2018. The other plan is the State of Tennessee 401k plan (the former plan) and was in existence prior to 2018. When the City joined the Hybrid Plan, existing employees were given the option to stay on the former plan or move to the Hybrid plan. Several employees chose to stay on the former plan.

State of Tennessee 401k Plan

Plan Description

The City (exclusive of the electric utility) participates in the State of Tennessee 401k plan (the Plan) with a Roth option. Employees of the City's Municipal Service departments, Water and Sewer Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

NOTE 9. PENSION PLAN - CITY FUNDS – continued

E. State of Tennessee 401k Plan - continued

Funding Policy

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employee's annual compensation and matched up to an additional 4% of the employee's contribution. Employees are not eligible to participate until after one year of employment. The vesting of employer contributions increases from 20% in year 1, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2021. At calendar year-end, any unused forfeitures are distributed pro-rata to the other members of the plan.

Annual Contributions

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed $951,589 on behalf of the employees for the fiscal year ended June 30, 2021.

State of Tennessee Deferred Compensation Plan II – 401(k)

Plan Description

The Hybrid Plan is a combination of the defined benefit plan (Public Employment Retirement Plan described in A above) and a defined contribution plan (a 401(k) plan). Employees of the City hired after October 1, 2018 working more than 30 hours per week and any existing City employee working more than 30 hours per week who chooses to join the TCRS Hybrid Plan are eligible for the plan. The Chair of the Tennessee Consolidated Retirement System (TCRS) may amend the Hybrid Plan on behalf of all employers. The Chair also has the sole and exclusive authority to interpret the Hybrid Plan and decide all claims and appeals for the Hybrid Plan benefits.

Funding Policy

Employers contribute 4% of payroll to the defined benefit component (as noted in section A above) and 5% of payroll to the defined contribution component, for an aggregate employer contribution of 9%. Employees may elect to defer a percentage of their salary into the plan. Defined contribution plan amounts are deposited into the State's 401(k) plan with Great West Financial, where the employee manages the investments. Employees immediately vest in both the employee and employer contributions to the defined contribution plan.

Annual Contributions

The City contributed $556,982 on behalf of the employees for the fiscal year ended June 30, 2021.

NOTE 10. PENSION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY

A. General Information About the Pension Plan

Plan Description

The Gallatin Department of Electricity Employee's Pension Plan (Electric Plan) is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective March 1, 2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

For pension benefits, employees with twenty (20) or more years of credited service are entitled to monthly pension benefits upon attainment of early retirement at age 55. The plan's normal retirement age is 65.

NOTE 10. PENSION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY - continued

Employees Covered by Benefit Terms

At the measurement date of June 30, 2020, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	22
Inactive employees entitled to but not yet receiving benefits	1
Active employees	22
	45

Contribution Requirements

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The rate used in FY 2021 was 9% of annual covered payroll. The Department contributed $750,000 for the year ended June 30, 2021.

B. Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2020, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2020.

Actuarial Assumptions

The total pension liability as of the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Salary increases	4.00 percent per year
Investment rate of return	7.00 percent, compounded annually
Cost of living adjustments	1.50 percent per year of original benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set Mortality with Scale MP-2019.

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Long-Term Expected Real Rate of Return	Target Allocation
Domestic Equity	7.20%	56%
International Equity	5.70%	3%
Fixed Income	3.40%	40%
Cash	1.60%	1%
		100%

Discount Rate

The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that the Department contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

NOTE 10. PENSION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY - continued

C. Changes in Net Pension Liability

	Total Pension Liability (TPL) (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (NPL) (a) - (b)
Balance at June 30, 2019	$ 11,069,375	$ 10,644,235	$ 425,140
Changes for the year:			
Service cost	$ 255,677	-	$ 255,677
Interest	771,299	-	771,299
Difference between expected and actual experience	(1)	-	(1)
Contributions - employer	-	$ 1,050,000	(1,050,000)
Contributions - employee	-	59,546	(59,546)
Net investment income	-	408,674	(408,674)
Benefit payments, including refunds of employee contributions	(623,543)	(623,543)	-
Change in assumptions	(38,813)	-	(38,813)
Administrative expense	-	(57,274)	57,274
Net changes	$ 364,619	$ 837,403	$ (472,784)
Balance at June 30, 2020	$ 11,433,994	$ 11,481,638	$ (47,644)

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Department, calculated using the discount rate of 7.00 percent, as well as what the Department's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate:

	1% Decrease	Current Rate	1% Increase
Interest rate	6.00%	7.00%	8.00%
Total pension liability	$ 12,965,156	$ 11,433,994	$ 10,148,598
Plan fiduciary net position	11,481,638	11,481,638	11,481,638
Net pension liability	1,483,518	(47,644)	(1,333,040)

D. Pension Expense (Income) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense

For the year ended June 30, 2021, the Department recognized pension expense as follows:

Components of Pension Expense	
Service cost	$ 255,677
Interest on TPL	771,299
Difference between expected and actual experience	25,818
Change of assumptions	7,923
Employee contributions	(59,546)
Projected earnings on assets	(759,848)
Difference between expected and actual earnings	94,617
Pension plan administrative expense	57,274
Total Expense	$ 393,214

NOTE 10. PENSION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY - continued

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2021, the Department reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 298,728	$ 127,325
Changes in assumptions	402,412	193,384
Net difference between projected and actual earnings on pension plan investments	239,690	-
Total to be amortized	$ 940,830	$ 320,709
Contributions made subsequent to the measurement date	750,000	-
Total	$ 1,690,830	$ 320,709

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30	Amount
2022	$ 70,106
2023	98,938
2024	158,080
2025	199,721
2026	95,814
Thereafter	(2,538)

NOTE 11. PENSION PLANS RECONCILIATION

Reconciliation of both pension plans to the amounts presented on the Statement of Net Position –

	Governmental Activities	Business-type Activities	Total
Net Pension Asset -			
Gallatin Department of Electricity			
Employee Pension Plan	$ -	$ 47,644	$ 47,644
Total Net Pension Asset	$ -	$ 47,644	$ 47,644
Deferred Outflows Related to Pensions -			
Public Employee Retirement Plan	$ 275,824	$ 70,041	$ 345,865
Gallatin Department of Electricity			
Employee Pension Plan	-	1,690,830	1,690,830
Total Deferred Outflows Related to Pensions	$ 275,824	$ 1,760,871	$ 2,036,695
Deferred Inflows Related to Pensions -			
Gallatin Department of Electricity			
Employee Pension Plan	$ -	$ 320,709	$ 320,709
Total Deferred Inflows Related to Pensions	$ -	$ 320,709	$ 320,709
Net Pension Liability -			
Public Employee Retirement Plan	$ 72,756	$ 19,307	$ 92,063
Total Net Pension Liability	$ 72,756	$ 19,307	$ 92,063
Pension Expense -			
Public Employee Retirement Plan	$ 89,926	$ 23,905	$ 113,831
Gallatin Department of Electricity			
Employee Pension Plan	-	393,214	393,214
Total Pension Expense	$ 89,926	$ 417,119	$ 507,045

NOTE 12. OTHER POST EMPLOYMENT BENEFITS - GALLATIN DEPARTMENT OF ELECTRICITY

A. General Information About the OPEB Plan

Plan Description

The Electric Department Post-Retirement Medical Plan (PRMP) is a single employer defined benefit plan administered by the Gallatin Electric Power Board. There are no assets accumulating in a trust that meet the requirements of GASB Statement No. 75, as amended. The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to $150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend benefit provisions is assigned to the Gallatin Electric Power Board.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2020, the following participants were covered by the benefit terms:

Inactive employees currently receiving benefits	16
Active employees	22
	38

NOTE 12. OTHER POST EMPLOYMENT BENEFITS - GALLATIN DEPARTMENT OF ELECTRICITY - continued

B. Total OPEB Liability

The Electric Department's total OPEB liability of $631,954 was measured as of June 30, 2020.

Actuarial Assumptions

The total OPEB liability in the July 1, 2020 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.00 percent
Salary increases	2.50 percent
Discount rate	2.21 percent as of June 30, 2020
Healthcare cost trend rate	None
Participation rate	100 percent assumed

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RPH-2014 headcount-weighted total dataset fully generational table with projection scale MP-2020.

C. Changes in Total OPEB Liability

		Liability
Balance at June 30, 2019	$	503,327
Changes for the year:		
Service cost	$	6,250
Interest		18,985
Differences between expected and actual experience		34,352
Changes in assumptions and other inputs		89,394
Benefit payments		(20,354)
Net changes	$	128,627
Balance at June 30, 2020	$	631,954

Changes of assumptions and other inputs reflect a change in the discount rate from 3.50% as of June 30, 2019 to 2.21% as of June 30, 2020.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (1.21 percent) or one percentage point higher (3.21 percent) than the current discount rate:

	1% Decrease	Current Rate	1% Increase
Interest rate	1.21%	2.21%	3.21%
Total OPEB liability	$ 730,059	$ 631,954	$ 559,496

D. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources

OPEB Expense

For the year ended June 30, 2021, the Department recognized OPEB expense of $39,674.

NOTE 12. OTHER POST EMPLOYMENT BENEFITS - GALLATIN DEPARTMENT OF ELECTRICITY - continued

D. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources - continued

Deferred Outflows of Resources and Deferred Inflows of Resources

At June 30, 2021, the Department reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 36,101	
Changes of assumptions or other inputs	92,600	$ 34,109
Total to be amortized	$ 128,701	$ 34,109
Contributions made subsequent to the measurement date	22,295	
Total	$ 150,996	$ 34,109

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year Ended June 30	Amount
2022	$ 14,439
2023	14,439
2024	14,439
2025	14,439
2026	19,054
Thereafter	17,782

NOTE 13. DEFINED CONTRIBUTION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY

A. General Information About the Defined Contribution Plan

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a ROTH option effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees of the Department hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

B. Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of Participant elective deferrals of up to 5% of Compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

20 percent after one year of service
40 percent after two years of service
60 percent after three years of service
80 percent after four years of service
100 percent after five years of service

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset Plan expenses. As of June 30, 2021, there has been one forfeiture in the amount of $2,076. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

NOTE 13. DEFINED CONTRIBUTION PLAN - GALLATIN DEPARTMENT OF ELECTRICITY - continued

C. Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed $82,776 on behalf of the eligible employees during the fiscal year ended June 30, 2021. There were no outstanding contributions at June 30, 2021.

NOTE 14. OTHER INFORMATION

A. Risk Management

City of Gallatin

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

It is the policy of the Gallatin Electric Department to purchase commercial insurance for the risks of losses to which it is exposed. These risks include general liability, property and casualty, worker's compensation, employee health and accident. Settled claims have not exceeded this commercial coverage in any of the past three fiscal years and there has been no significant reduction in the amount of coverage.

B. Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at costs based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

As of June 30, 2021, the City entered into multiple construction contracts related to the road, water, and sewer construction projects of approximately $40,600,000 and has spent approximately $31,100,000 of committed funds, with the remaining balance of approximately $9,500,000 in outstanding commitments at June 30, 2021.

The City has entered into an agreement with the Sumner County Resource Authority (the Resource Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that in the event the Resource Authority's revenues are insufficient to cover the costs of operation and debt retirement the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post closure costs of the landfill should the Resource Authority be unable to do so.

The Resource Authority operates primarily as a solid waste transfer station. The City utilizes the Resource Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Resource Authority, as well as the costs relative to the change in operations or possible dissolution.

The Resource Authority as of June 30, 2021, which is the latest available financial statement date, has net investment in capital assets in the amount of $2,404,610 and an unrestricted net position of $2,279,322 as compared to $2,595,737 and $1,264,537 for the year 2020. During 2021, the City provided deficit funding in the amount of $0 and paid the Resource Authority $683,933 in tipping fees for solid waste.

NOTE 14. OTHER INFORMATION - continued

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, though legal counsel does not expect any possible liability to exceed the City's limits of insurance.

D. Power Contract

The Utility has a power contract with the Tennessee Valley Authority (TVA); whereby, the electric system purchases all of its electric power from TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishings, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the county and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

NOTE 15. TVA ADVANCES PAYABLE

Advances payable are made up of advances to the Electric Department from TVA for home weatherization loans and interest. The TVA loans are paid in monthly installments as the Electric Department is paid by the customers. These advances bear interest at either 6.0% or 8.0%. They are secured by UCC-1s on the customer's heating and air units. At June 30, 2021, outstanding funds advanced by TVA totaled $20,824.

NOTE 16. IMPLEMENTATION OF ACCOUNTING PRONOUNCEMENT

The City implemented GASB Statement 84, "Fiduciary Activities". The objective of this statement is to improve guidance regarding identification of fiduciary activities for accounting and financial reporting purposes and how those activities have been reported. As a result of GASB 84, the City evaluated its accounting for fiduciary activities, and as a result, there was no material effect to the City's financial statements for the year ended June 30, 2021.

NOTE 17. COVID-19 OUTBREAK

On January 30, 2020, the World Health Organization declared the COVID-19 outbreak a "Public Health Emergency of International Concern" and on March 11, 2020, declared it to be a pandemic. Actions taken around the world to help mitigate the spread of COVID-19 include restrictions on travel, and quarantines in certain areas, and forced closures for certain types of public places and businesses. COVID-19 and actions taken to mitigate it have had and are expected to continue to have an adverse impact on the economy and financial markets, including the geographical area in which the City operates. While it is unknown how long these conditions will last and what the complete financial effect will be to the City, to date the City has not experienced significant changes in its operations. While the disruption is currently expected to be temporary, there is uncertainty around the duration. The ultimate impact of the pandemic on the City's results of operations and financial position cannot be reasonably estimated at this time.

NOTE 18. SUBSEQUENT EVENTS

In November 2021, the City issued $13,400,000 Water and Sewer Revenue Improvement Bonds, Series 2021A (Series 2021A Bonds) and $13,965,000 Water and Sewer Revenue Refunding Bonds, Series 2021B (Series 2021B Bonds). Proceeds from the Series 2021A Bonds and Series 2021B Bonds are being used to (a) refund a portion of its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015, dated May 19, 2015, (b) finance extensions and improvements to the System and (c) pay costs of issuance.

REQUIRED SUPPLEMENTARY INFORMATION

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information
Gallatin Electric Department Employee Pension Plan

Schedule of Changes in the Plan's Net Pension Liability (Asset) and Related Ratios
Last 10 Fiscal Years (1)

	2014	2015	2016	2017	2018	2019	2020
Total Pension Liability -							
Service cost	$ 136,832	$ 160,611	$ 165,004	$ 177,907	$ 185,023	$ 183,037	$ 255,677
Interest	559,812	652,294	659,028	685,170	691,268	723,598	771,299
Changes in benefit terms	-	-	-	-	-	-	-
Differences between actual and expected experience	22,888	-	-	(295,965)	115,214	324,343	(1)
Changes in assumptions	989,264	-	(468,590)	-	-	(28,647)	(38,813)
Benefit payments, including refunds of employee contributions	(496,184)	(403,705)	(445,233)	(482,369)	(492,024)	(564,525)	(623,543)
Net Change in Total Pension Liability	$ 1,212,612	$ 409,200	$ (89,791)	$ 84,743	$ 499,481	$ 637,806	$ 364,619
Total Pension Liability - beginning	8,315,324	9,527,936	9,937,136	9,847,345	9,932,088	10,431,569	11,069,375
Total Pension Liability - ending (a)	$ 9,527,936	$ 9,937,136	$ 9,847,345	$ 9,932,088	$ 10,431,569	$ 11,069,375	$ 11,433,994
Plan Fiduciary Net Position -							
Contributions - employer	$ 257,050	$ 385,256	$ 666,994	$ 1,040,000	$ 800,000	$ 1,200,000	$ 1,050,000
Contributions - employee	57,685	61,065	65,855	62,487	62,395	61,115	59,546
Net investment income	644,573	118,498	185,887	663,332	610,022	685,759	408,674
Benefit payments, including refunds of employee contributions	(496,184)	(403,705)	(445,233)	(482,369)	(492,024)	(564,525)	(623,543)
Administrative expense	(31,671)	(32,684)	(34,134)	(39,030)	(44,369)	(49,663)	(57,274)
Other	-	-	-	-	-	-	-
Net Change in Plan Fiduciary Net Position	$ 431,453	$ 128,430	$ 439,369	$ 1,244,420	$ 936,024	$ 1,332,686	$ 837,403
Plan Fiduciary Net Position - beginning	6,131,853	6,563,306	6,691,736	7,131,105	8,375,525	9,311,549	10,644,235
Plan Fiduciary Net Position - ending (b)	$ 6,563,306	$ 6,691,736	$ 7,131,105	$ 8,375,525	$ 9,311,549	$ 10,644,235	$ 11,481,638
Net Pension Liability (Asset) ending (a) - (b)	$ 2,964,630	$ 3,245,400	$ 2,716,240	$ 1,556,563	$ 1,120,020	$ 425,140	$ (47,644)
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	68.88%	67.34%	72.42%	84.33%	89.26%	96.16%	100.42%
Covered Payroll	$ 1,934,194	$ 1,952,736	$ 2,030,845	$ 2,043,550	$ 1,958,148	$ 2,085,475	$ 2,085,475
Net Pension Liability (Asset) as a Percentage of Covered Payroll	153.27%	166.20%	133.75%	76.17%	57.20%	20.39%	-2.28%

(1) Information for additional years will be presented as available.

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information
Gallatin Electric Department Employee Pension Plan

Schedule of Contributions
Last 10 Fiscal Years (1)

	2014	2015	2016	2017	2018	2019	2020	2021
Actuarially determined contribution	$ 253,122	$ 385,256	$ 385,256	$ 417,159	$ 417,159	$ 342,422	$ 342,422	$ 187,777
Contributions in relation to the actuarially determined contribution	459,410	381,950	666,994	1,040,000	800,000	1,200,000	1,050,000	750,000
Contribution deficiency (excess)	$ (206,288)	$ 3,306	$ (281,738)	$ (622,841)	$ (382,841)	$ (857,578)	$ (707,578)	$ (562,223)
Covered payroll	$ 1,934,194	$ 1,952,736	$ 2,030,845	$ 2,043,550	$ 1,958,148	$ 2,085,475	$ 2,085,475	$ 2,085,475
Contributions as a percentage of covered payroll	23.75%	19.56%	32.84%	50.89%	40.85%	57.54%	50.35%	35.96%

Notes to Schedule

Valuation date: June 30, 2020

Methods and assumptions used to determine contribution rates are:

Actuarial cost method	Individual Entry Age Normal, Level Percentage of Pay
Amortization method	Level dollar
Remaining amortization periods	Initial Amortization Period: 30 years as of 2014
Asset valuation method	Market Value of Plan Assets
Cost of living increases	1.50%
Salary increases	4.00%
Investment rate of return	7.00%
Retirement age	Normal retirement age is 65; It is assumed early retirement occurs according to the withdrawal rate table.
Mortality	SOA RP-2014 Total Dataset Mortality Scale MP-2019

(1) Information for additional years will be presented as available.

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information
Gallatin Electric Department Employee Pension Plan

Schedule of Investment Returns
Last 10 Fiscal Years (1)

	2014	2015	2016	2017	2018	2019	2020	2021
Annual money-weighted rate of return, net of investment expense	11.00%	1.82%	1.75%	9.04%	7.11%	7.09%	3.84%	26.42%

(1) Information for additional years will be presented as available.

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information
Gallatin Electric Department

Schedule of Changes in the Total OPEB Liability and Related Ratios
Last 10 Fiscal Years (1)

	2017	2018	2019	2020
Total OPEB Liability				
Service cost	$ 9,220	$ 7,587	$ 6,485	$ 6,250
Interest	14,641	16,911	18,085	18,985
Changes in benefit terms	-	-	-	-
Differences between expected and actual experience	3,563	7,940	-	34,352
Changes of assumptions or other inputs	(46,674)	(16,731)	22,113	89,394
Benefit payments	(25,113)	(15,914)	(15,783)	(20,354)
Net Change in Total OPEB Liability	$ (44,363)	$ (207)	$ 30,900	$ 128,627
Total OPEB Liability - beginning	516,997	472,634	472,427	503,327
Total OPEB Liability - ending	$ 472,634	$ 472,427	$ 503,327	$ 631,954
Covered-Employee Payroll	$ 2,043,550	$ 1,958,148	$ 2,085,475	$ 2,085,475
Total OPEB Liability as a Percentage of Covered-Employee Payroll	23.13%	24.13%	24.13%	30.30%

Notes to Schedule -

There are no assets accumulating, in a trust that meets the critera in paragraph 4 of GASB Statement No. 75, related to this OPEB plan.

Changes of assumptions - Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discounts rates used in each period:

2017	3.58%
2018	3.87%
2019	3.50%
2020	2.21%

There were no benefit changes during the measurement period.

(1) Information for additional years will be presented as available.

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information

Schedule of Changes in the Net Pension Liability (Asset) and Related Ratios Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS Last 10 Fiscal Years (1)

	2019	2020
Total Pension Liability		
Service cost	$ -	$ 575,836
Interest	-	72,620
Changes in benefit terms	426,349	-
Differences between actual and expected experience	-	153,571
Changes of assumptions	-	-
Benefit payments, including refunds of employee contributions	(536)	-
Net Change in Total Pension Liability	$ 425,813	$ 802,027
Total Pension Liability - beginning	-	425,813
Total Pension Liability - ending (a)	$ 425,813	$ 1,227,840
Plan Fiduciary Net Position		
Contributions - employer	$ 107,409	$ 170,527
Contributions - employee	323,520	513,637
Net investment income	15,540	37,963
Benefit payments, including refunds of employee contributions	(536)	-
Administrative expense	(13,018)	(19,265)
Other	-	-
Net Change in Plan Fiduciary Net Position	$ 432,915	$ 702,862
Plan Fiduciary Net Position - beginning	-	432,915
Plan Fiduciary Net Position - ending (b)	$ 432,915	$ 1,135,777
Net Pension Liability (Asset) ending (a) - (b)	$ (7,102)	$ 92,063
Plan Fiduciary Net Position as a Percentage of Total Pension Liability	101.67%	92.50%
Covered Payroll	$ 6,470,377	$ 10,274,439
Net Pension Liability (Asset) as a Percentage of Covered Payroll	-0.11%	0.90%

(1) Information for additional years will be presented as available.

CITY OF GALLATIN, TENNESSEE

Required Supplementary Information

Schedule of Contributions
Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS
Last 10 Fiscal Years (1)

	2019	2020	2021
Actuarially determined contribution	$ 107,409	$ 170,527	$ 190,332
Contributions in relation to the actuarially determined contribution	107,409	170,527	190,332
Contribution deficiency (excess)	$ -	$ -	$ -
Covered payroll	$ 6,470,377	$ 10,274,439	$ 11,127,062
Contributions as a percentage of covered payroll	1.66%	1.66%	1.71%

Note: Beginning in FY 2019, the City placed the actuarially determined contribution rate of covered payroll into the pension plan and placed the remainder of the four percent contractually required contribution into the Pension Stabilization Reserve Trust (SRT).

2019: Pension - 1.66%, SRT - 2.34%
2020: Pension - 1.66%, SRT - 2.34%
2021: Pension - 1.71%, SRT - 2.29%

Notes to Schedule

Valuation date : Actuarially determined contribution rates for fiscal year 2021 were calculated based on the June 30, 2019 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by year
Asset valuation method	10-year smoothed within a 20 percent corridor to market value
Inflation	2.5 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	7.25 percent, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of living adjustments	2.25 percent

(1) Information for additional years will be presented as available.

SUPPLEMENTAL SECTION

NONMAJOR GOVERNMENTAL FUNDS

SPECIAL REVENUE FUNDS -

Special Revenue Funds account for specific revenues that are legally restricted to specific expenditure purposes. The Special Revenue Funds are:

Special Services Fund accounts for sex offender registry payments that are used for specific purposes and private donations to be used for the "Shop with a Cop" Christmas program.

Drug Fund accounts for the resources used in the City's drug enforcement and education programs.

Environmental Services Fund accounts for resources used for the City's garbage collection activities.

Stormwater Utility Fund accounts for the stormwater fee that is used for stormwater maintenance and repairs throughout the City.

Industrial Development Board accounts for activities by the City to encourage economic development.

PERMANENT FUNDS -

Permanent Funds account for specific revenues for which the corpus of the donation is restricted by external donors. The Permanent Funds are:

Witherspoon Loan Fund accounts for a donation that was received for the purpose of making loans to graduating seniors to be used for college expenses.

Cemetery Trust Fund accounts for donations that have been received to maintain the cemetery in perpetuity.

CITY OF GALLATIN, TENNESSEE

Combining Balance Sheet
Nonmajor Governmental Funds

June 30, 2021

	Special Revenue Funds						Permanent Funds			
	Special Services Fund	Drug Fund	Environmental Services Fund	Stormwater Utility Fund	Industrial Development Board	Total Special Revenue Funds	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	Total Nonmajor Governmental Funds
ASSETS										
Cash	$ 3,567,273	$ 131,349	$ 743,464	$ 1,416,135	$ 123,462	$ 5,981,683	$ 294,295	$ 14,174	$ 308,469	$ 6,290,152
Investments	-	-	-	-	-	-	-	21,025	21,025	21,025
Receivables, net	-	-	173,122	114,818	-	287,940	137,682	-	137,682	425,622
Inventory	-	-	9,990	-	-	9,990	-	-	-	9,990
Other Assets	-	-	-	-	-	-	10,929	-	10,929	10,929
Restricted Assets -										
TCRS Stabilization Fund	-	-	20,442	13,091	-	33,533	-	-	-	33,533
Total Assets	$ 3,567,273	$ 131,349	$ 947,018	$ 1,544,044	$ 123,462	$ 6,313,146	$ 442,906	$ 35,199	$ 478,105	$ 6,791,251
LIABILITIES AND FUND BALANCES										
Liabilities -										
Accounts Payable	$ 81,000	$ 367	$ 90,979	$ 44,019	$ -	$ 216,365	$ -	$ -	$ -	$ 216,365
Performance Deposit	3,310,086	-	-	-	-	3,310,086	-	-	-	3,310,086
Unearned Evidence Funds	111,233	-	-	-	-	111,233	-	-	-	111,233
Total Liabilities	$ 3,502,319	$ 367	$ 90,979	$ 44,019	$ -	$ 3,637,684	$ -	$ -	$ -	$ 3,637,684
Fund Balances -										
Nonspendable:										
Prepaid Items	$ -	$ -	$ -	$ -	$ -	$ -	$ 10,929	$ -	$ 10,929	$ 10,929
Perpetual Care	-	-	-	-	-	-		21,025	21,025	21,025
Inventory	-	-	9,990		-	9,990	-	-	-	9,990
Restricted For:										
Funds Held in Trust	-	-	-	-	-	-	431,977	-	431,977	431,977
Environmental Services	-	-	825,607	-	-	825,607	-	-	-	825,607
Economic Development	-	-	-	-	123,462	123,462	-	-	-	123,462
Drug Enforcement	-	130,982	-	-	-	130,982	-	-	-	130,982
Stormwater	-	-	-	1,486,934	-	1,486,934	-	-	-	1,486,934
Hybrid Retirement Stabilization Funds	-	-	20,442	13,091	-	33,533	-	-	-	33,533
Assigned To:										
Police Special Projects	64,954	-	-	-	-	64,954	-	-	-	64,954
Cemetery Use	-	-	-	-	-	-	-	14,174	14,174	14,174
Total Fund Balances	$ 64,954	$ 130,982	$ 856,039	$ 1,500,025	$ 123,462	$ 2,675,462	$ 442,906	$ 35,199	$ 478,105	$ 3,153,567
Total Liabilities and Fund Balances	$ 3,567,273	$ 131,349	$ 947,018	$ 1,544,044	$ 123,462	$ 6,313,146	$ 442,906	$ 35,199	$ 478,105	$ 6,791,251

CITY OF GALLATIN, TENNESSEE

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds

Year Ended June 30, 2021

	Special Revenue Funds						Permanent Funds			
	Special Services Fund	Drug Fund	Environmental Services Fund	Stormwater Utility Fund	Industrial Development Board	Total Special Revenue Funds	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	Total Nonmajor Governmental Funds
Revenues										
Charges for Services	$ -	$ -	$ 2,268,189	$ 1,901,980	$ -	$ 4,170,169	$ -	$ -	$ -	$ 4,170,169
Fines and forfeitures	5,400	74,715	-	-	-	80,115	-	-	-	80,115
Other Revenue	82,195	37,161	80,340	54,564	127,264	381,524	6,910	826	7,736	389,260
Total Revenues	$ 87,595	$ 111,876	$ 2,348,529	$ 1,956,544	$ 127,264	$ 4,631,808	$ 6,910	$ 826	$ 7,736	$ 4,639,544
Expenditures										
Current:										
Public Safety	$ 46,980	$ 39,764	$ -	$ -	$ -	$ 86,744	$ -	$ -	$ -	$ 86,744
Environmental Services	-	-	1,911,882	908,079	-	2,819,961	-	-	-	2,819,961
Economic Development	-	-	-	-	135,552	135,552	-	-	-	135,552
Capital Outlay	-	118,559	370,810	137,371	-	626,740	-	-	-	626,740
Total Expenditures	$ 46,980	$ 158,323	$ 2,282,692	$ 1,045,450	$ 135,552	$ 3,668,997	$ -	$ -	$ -	$ 3,668,997
Excess (deficiency) of Revenues over (under) Expenditures	$ 40,615	$ (46,447)	$ 65,837	$ 911,094	$ (8,288)	$ 962,811	$ 6,910	$ 826	$ 7,736	$ 970,547
Fund Balances at beginning of year	24,339	177,429	790,202	588,931	131,750	1,712,651	435,996	34,373	470,369	2,183,020
Fund Balances at end of year	$ 64,954	$ 130,982	$ 856,039	$ 1,500,025	$ 123,462	$ 2,675,462	$ 442,906	$ 35,199	$ 478,105	$ 3,153,567

CITY OF GALLATIN, TENNESSEE

Special Services Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Revenues -				
Fines and Forfeitures:				
Sex Offender Registry	$ 5,000	$ 5,000	$ 5,400	$ 400
Other:				
Donations	20,000	45,521	82,175	36,654
Interest	-	-	20	20
Total Revenues	$ 25,000	$ 50,521	$ 87,595	$ 37,074
Expenditures -				
Current:				
Public Safety - Police:				
Office Supplies	$ 5,000	$ 5,000	$ 545	$ 4,455
Grants and Donations	20,000	45,521	46,435	(914)
Total Expenditures	$ 25,000	$ 50,521	$ 46,980	$ 3,541
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ -	$ -	$ 40,615	$ 40,615
Fund Balance at Beginning of Year	24,339	24,339	24,339	-
Fund Balance at End of Year	$ 24,339	$ 24,339	$ 64,954	$ 40,615

CITY OF GALLATIN, TENNESSEE

Drug Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Revenues -				
Fines and Forfeitures	$ 108,000	$ 108,000	$ 74,715	$ (33,285)
Donations	-	-	50	50
Interest	-	-	4	4
Sale of Equipment	-	-	37,107	37,107
Total Revenues	$ 108,000	$ 108,000	$ 111,876	$ 3,876
Expenditures -				
Current:				
Public Safety - Police:				
Supplies	$ 22,000	$ 37,000	$ 39,764	$ (2,764)
Capital Outlay	86,000	115,500	118,559	(3,059)
Total Expenditures	$ 108,000	$ 152,500	$ 158,323	$ (5,823)
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ -	$ (44,500)	$ (46,447)	$ (1,947)
Fund Balance at Beginning of Year	177,429	177,429	177,429	-
Fund Balance at End of Year	$ 177,429	$ 132,929	$ 130,982	$ (1,947)

CITY OF GALLATIN, TENNESSEE

Environmental Services Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Revenues -				
Charges for Services	$ 2,060,000	$ 2,100,000	$ 2,268,189	$ 168,189
Other:				
Sale of Supplies	60,000	60,000	75,144	15,144
Miscellaneous	-	-	5,196	5,196
Total Revenues	$ 2,120,000	$ 2,160,000	$ 2,348,529	$ 188,529
Expenditures -				
Current:				
Environmental Services:				
Salaries	$ 609,184	$ 629,839	$ 605,068	$ 24,771
Employee Benefit and Taxes	256,663	257,163	217,246	39,917
Insurance	42,500	42,500	33,456	9,044
Utilities	20,431	20,431	15,186	5,245
Repairs and Maintenance	77,000	77,000	72,447	4,553
Other Contractual Services	685,500	685,500	704,089	(18,589)
Supplies	8,100	8,100	7,616	484
Gas, Oil, Diesel, etc.	96,000	96,000	85,113	10,887
Supplies for Ressale	50,000	50,000	64,208	(14,208)
Natural Materials	75,000	75,000	42,580	32,420
Professional Services	65,826	65,826	65,826	-
Miscellaneous	3,450	3,450	(953)	4,403
Capital Outlay	150,000	368,482	370,810	(2,328)
Total Expenditures	$ 2,139,654	$ 2,379,291	$ 2,282,692	$ 96,599
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ (19,654)	$ (219,291)	$ 65,837	$ 285,128
Other Financing Sources and (Uses):				
Transfers In	-	17,655	-	(17,655)
Net change in fund balance	$ (19,654)	$ (201,636)	$ 65,837	$ 267,473
Fund Balance at Beginning of Year	790,202	790,202	790,202	-
Fund Balance at End of Year	$ 770,548	$ 588,566	$ 856,039	$ 267,473

CITY OF GALLATIN, TENNESSEE

Stormwater Utility Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Revenues -				
Charges for Services	$ 1,825,000	$ 1,825,000	$ 1,901,980	$ 76,980
Other:				
Miscellaneous	-	52,264	54,564	2,300
Total Revenues	$ 1,825,000	$ 1,877,264	$ 1,956,544	$ 79,280
Expenditures -				
Current:				
Environmental Services:				
Salaries	$ 489,751	$ 491,551	$ 427,135	$ 64,416
Employee Benefit and Taxes	225,915	226,215	141,778	84,437
Utilities	6,620	6,620	4,826	1,794
Repairs and Maintenance	12,500	12,500	9,948	2,552
Supplies	4,350	4,350	3,721	629
Gas, Oil, Diesel, etc.	13,500	13,500	18,374	(4,874)
Professional Services	411,176	411,176	132,859	278,317
Miscellaneous	205,163	270,484	169,438	101,046
Capital Outlay	385,000	890,844	137,371	753,473
Total Expenditures	$ 1,753,975	$ 2,327,240	$ 1,045,450	$ 1,281,790
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ 71,025	$ (449,976)	$ 911,094	$ 1,361,070
Fund Balance at Beginning of Year	588,931	588,931	588,931	-
Fund Balance at End of Year	$ 659,956	$ 138,955	$ 1,500,025	$ 1,361,070

See notes to financial statements.

CITY OF GALLATIN, TENNESSEE

Industrial Development Board Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget and Actual

Year Ended June 30, 2021

	Budgeted Amounts			Variance with Final Budget Positive
	Original	Final	Actual	(Negative)
Revenues -				
Other:				
Payment in lieu from industry	$ 265,025	$ 265,025	$ 127,149	$ (137,876)
Application fee	1,500	1,500	-	(1,500)
Interest	-	-	115	115
Total Revenues	$ 266,525	$ 266,525	$ 127,264	$ (139,261)
Expenditures -				
Current:				
Economic Development	$ 205,260	$ 205,260	$ 135,552	$ 69,708
Total Expenditures	$ 205,260	$ 205,260	$ 135,552	$ 69,708
Excess (Deficiency) of Revenues Over (Under) Expenditures	$ 61,265	$ 61,265	$ (8,288)	$ (69,553)
Fund Balance at beginning of year	131,750	131,750	131,750	-
Fund Balance at end of year	$ 193,015	$ 193,015	$ 123,462	$ (69,553)

See notes to financial statements.

FINANCIAL SCHEDULES

Financial Schedules are presented to demonstrate finance related legal and contractual compliance, provide details of data summarized in the financial statements, and present other information deemed useful.

CITY OF GALLATIN, TENNESSEE

Schedule of Expenditures of Federal Awards and State Financial Assistance

For the Year Ended June 30, 2021

Federal Grantor / Pass-Through Grantor / Program Title	CFDA Number	Pass Through Entity	Contract Number	Passed Through To Subrecipients	Expenditures
Federal Awards					
Federal Emergency Management Agency					
SAFER 2017	97.083	N/A	EMW-2017-FH-00307		$ 380,510
Sub-Total SAFER CFDA 97.083					**380,510**
Total Federal Emergency Management Agency					**380,510**
US. Department of Justice - Bureau of Justice Assistance					
Federal Bureau of Investigation					
FBI Violent Crimes Task Force Reimbursement	16.U01	N/A	MOU		14,439
Sub-Total FBI No CFDA					**14,439**
Office of Community Oriented Policing Services					
COPS Microgrant Staffing and Allocation Study	16.710	N/A	2020CKWX008		65,229
Sub-Total BJA-COPS Office CFDA 16.710					**65,229**
Office of Justice Programs					
Bulletproof Vest Program - Justice Assistance Grants	16.607	N/A	2019-BUBX-2002-3062		4,513
Sub-Total BJA-OJP BVP CFDA 16.607					**4,513**
Mental Health Collaboration Program - Planning Guide	16.745	N/A	2018-MO-BX-0046		16,628
Justice Mental Health Collaboration Program-Embedded Clinician	16.745	N/A	2020-MO-BX-0030		50,278
Sub-Total BJA-OJP JMHCP CFDA 16.745					**66,906**
Comprehensive Opioid and Substance Abuse Site-Based Program	16.838	N/A	2020-AR-BX-0053		51,027
Sub-Total BJA-OJP COSSAP CFDA 16.838					51,027
Sub-Total OJP Funding					**122,446**
Total US Department of Justice-BJA (OJP, COPS, FBI)					**202,114**
U.S. Department of Transportation					
Pass-through programs TN Dept of Transportation:					
Highway Planning and Construction					
Albert-Gallatin / Hatten Track Extension	20.205	TDOT	STP-M-8300(70)		6,701,091
Nashville Pike Sidewalk	20.205	TDOT	EM-NH-6(130) / 83LPLM-F3-122		3,823
City Sidewalk	20.205	TDOT	TAP-M-9306(22) / 83LPLM		58,531
Safe Routes to Schools	20.205	TDOT	SRTS-4569(10) / 83LPLM		409,295
IT Signal	20.205	TDOT	83PLM-F3-110 / CM-9306(21)		43,593
Sub-Total Highway Construction Program CFDA 20.205					**7,216,333**
Total Highway Planning and Construction Cluster					**7,216,333**
Pass-through program **TN Dept of Transportation-Freight & Logistics**:					
S Water RR Crossing Improvement	No CFDA	TDOT			109
W Eastland RR Crossing (Reimburseable Agreement-No CFDA)	No CFDA	TDOT	CRR070372		3,133
Highway Railroad Crossing Program Sub-Total					**3,242**
Total U.S. Department of Transportation					**7,219,575**
U.S. Department of Safety and Homeland Security					
Passed through TN Highway Safety Office					
Police Traffic Services State & Community Highway Safety Projects	20.600	THSO	Z21THS104		17,139
Police Traffic Services State & Community Highway Safety Projects	20.600	THSO	Z20THS088		6,433
Total US Department of Safety and Homeland Security CFDA 20.600					**23,572**
Total Highway Safety Cluster					**23,572**
US Dept of Treasury					
Pass-through program **TN Dept of Finance & Administration**					
CARES Act Local Coronavirus Relief Funds (CRF)	21.019	TDF&A	RFF 4112		606,855
Total US Dept of Treasury CFDA 21.019					**606,855**
Department of the Interior, National Park Service					
Pass-through program **TN Dept of Environment and Conservation**					
Historic Preservation Fund - Historic District Survey 60/40	15.904	TDEC	FED P20AF00050 / TDEC 32701-04137		5,400
Total Dept of Int-NPS Historic Preservation Fund CFDA 15.904					**5,400**
Total Federal Awards				-	**8,438,026**

(continued)

Federal Grantor / Pass-Through Grantor / Program Title	CFDA Number	Pass Through Entity	Contract Number	Passed Through To Subrecipients	Expenditures
State Financial Assistance					
Tennessee Department of Environment and Conservation					
Local Parks and Recreation Fund	N/A	N/A	TDEC/RES LPRF 32701-03875 (GMS #2017-2782)		325,925
EDA Site Development Grant	N/A	N/A	TDEC SDGP 33007-30030		80,487
Total Tennessee Department of Environment and Conservation					**406,413**
TN Department of Finance and Administration					
Governor's Local Support Direct Allocation/Appropriation	N/A	N/A	N/A		922,824
Total Tennessee Department of Finance and Administration					**922,824**
Total State Financial Assistance				-	**$ 1,329,237**
Total Federal Awards and State Financial Assistance				$ -	**$ 9,767,263**

Note 1. Basis of Presentation
The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2021. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance) . Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2. Summary of Signficant Accounting Policies
Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

Note 3. Indirect Cost Rate
The City has elected to use the 10-percent de minimis indirect cost rate allowed under Uniform Guidance.

CITY OF GALLATIN, TENNESSEE

Schedule of Long-Term Debt, Principal and Interest Requirements -
General Obligation Debt

June 30, 2021

Fiscal Year Ending June 30,	Issue	Interest Rate	Principal	Interest	Total Principal and Interest
Governmental Activities - General Obligation Bonds -					
2022	General Obligation Improvement Bonds,	2.00-5.00 %	$ 930,000	$ 321,650	$ 1,251,650
2023	Series 2014		950,000	293,750	1,243,750
2024			975,000	270,000	1,245,000
2025			1,010,000	221,250	1,231,250
2026			1,050,000	180,850	1,230,850
2027			1,090,000	138,850	1,228,850
2028			450,000	106,150	556,150
2029			460,000	92,650	552,650
2030			475,000	78,850	553,850
2031			490,000	64,600	554,600
2032			505,000	49,900	554,900
2033			525,000	34,119	559,119
2034			545,000	17,713	562,713
			$ 9,455,000	$ 1,870,332	$ 11,325,332
2022	General Obligation Bonds, Series 2016	2.00-5.00 %	$ 490,000	$ 334,500	$ 824,500
2023			500,000	310,000	810,000
2024			510,000	285,000	795,000
2025			520,000	259,500	779,500
2026			530,000	233,500	763,500
2027			540,000	207,000	747,000
2028			555,000	185,400	740,400
2029			570,000	163,200	733,200
2030			585,000	140,400	725,400
2031			600,000	117,000	717,000
2032			620,000	99,000	719,000
2033			640,000	80,400	720,400
2034			660,000	61,200	721,200
2035			680,000	41,400	721,400
2036			700,000	21,000	721,000
			$ 8,700,000	$ 2,538,500	$ 11,238,500
2022	General Obligation Bonds, Series 2021	2.00 - 5.00 %	$ 325,000	$ 314,439	$ 639,439
2023			330,000	308,100	638,100
2024			350,000	291,600	641,600
2025			365,000	274,100	639,100
2026			385,000	255,850	640,850
2027			405,000	236,600	641,600
2028			425,000	216,350	641,350
2029			445,000	195,100	640,100
2030			465,000	172,850	637,850
2031			490,000	149,600	639,600
2032			515,000	125,100	640,100
2033			535,000	104,500	639,500
2034			545,000	93,800	638,800
2035			555,000	82,900	637,900
2036			570,000	71,800	641,800
2037			580,000	60,400	640,400
2038			590,000	48,800	638,800
2039			605,000	37,000	642,000
2040			615,000	24,900	639,900
2041			630,000	12,600	642,600
			$ 9,725,000	$ 3,076,389	$ 12,801,389

(Continued)

CITY OF GALLATIN, TENNESSEE

Schedule of Long-Term Debt, Principal and Interest Requirements - General Obligation Debt (continued)

June 30, 2021

Fiscal Year Ending June 30,	Issue	Interest Rate	Principal	Interest	Total Principal and Interest
2022	Total Governmental Activities Requirements		$ 1,745,000	$ 970,589	$ 2,715,589
2023			1,780,000	911,850	2,691,850
2024			1,835,000	846,600	2,681,600
2025			1,895,000	754,850	2,649,850
2026			1,965,000	670,200	2,635,200
2027			2,035,000	582,450	2,617,450
2028			1,430,000	507,900	1,937,900
2029			1,475,000	450,950	1,925,950
2030			1,525,000	392,100	1,917,100
2031			1,580,000	331,200	1,911,200
2032			1,640,000	274,000	1,914,000
2033			1,700,000	219,019	1,919,019
2034			1,750,000	172,713	1,922,713
2035			1,235,000	124,300	1,359,300
2036			1,270,000	92,800	1,362,800
2037			580,000	60,400	640,400
2038			590,000	48,800	638,800
2039			605,000	37,000	642,000
2040			615,000	24,900	639,900
2041			630,000	12,600	642,600
	Total Governmental Activities - Long-Term Debt		$ 27,880,000	$ 7,485,221	$ 35,365,221

CITY OF GALLATIN, TENNESSEE

Schedule of Long-Term Debt, Principal and Interest Requirements - Proprietary Funds

June 30, 2021

Fiscal Year Ending June 30,	Issue	Interest Rate	Principal	Interest	Total Principal and Interest
Business-Type Activities - General Obligation Bonds -					
Water and Sewer Department					
2022	Water & Sewer Revenue Bonds, Series 2011	2.00-3.625 %	$ 440,000	$ 196,848	$ 636,848
2023			450,000	183,498	633,498
2024			460,000	169,848	629,848
2025			490,000	155,598	645,598
2026			505,000	141,304	646,304
2027			520,000	126,560	646,560
2028			535,000	110,401	645,401
2029			555,000	93,023	648,023
2030			570,000	74,599	644,599
2031			590,000	54,869	644,869
2032			615,000	33,781	648,781
2033			635,000	11,509	646,509
			$ 6,365,000	$ 1,351,838	$ 7,716,838
2022	Water & Sewer Revenue Bonds, Series 2014	2.00-5.00 %	$ 275,000	$ 109,375	$ 384,375
2023			285,000	95,375	380,375
2024			315,000	80,375	395,375
2025			325,000	64,375	389,375
2026			330,000	49,650	379,650
2027			340,000	37,950	377,950
2028			355,000	27,525	382,525
2029			365,000	16,725	381,725
2030			375,000	5,625	380,625
			$ 2,965,000	$ 486,975	$ 3,451,975
2022	Water & Sewer Revenue Bonds, Series 2015	3.00-5.00 %	$ 1,160,000	$ 843,437	$ 2,003,437
2023			1,200,000	797,038	1,997,038
2024			1,255,000	749,037	2,004,037
2025			1,305,000	698,838	2,003,838
2026			1,350,000	646,637	1,996,637
2027			1,400,000	599,388	1,999,388
2028			1,460,000	543,387	2,003,387
2029			1,515,000	484,988	1,999,988
2030			1,575,000	424,387	1,999,387
2031			1,655,000	345,638	2,000,638
2032			1,735,000	262,887	1,997,887
2033			1,825,000	176,138	2,001,138
2034			230,000	84,887	314,887
2035			240,000	73,388	313,388
2036			255,000	61,387	316,387
2037			265,000	48,638	313,638
2038			280,000	35,387	315,387
2039			290,000	21,388	311,388
2040			300,000	10,875	310,875
			$ 19,295,000	$ 6,907,750	$ 26,202,750

(Continued)

CITY OF GALLATIN, TENNESSEE

Schedule of Long-Term Debt, Principal and Interest Requirements - Proprietary Funds (continued)

June 30, 2021

Fiscal Year Ending June 30,	Issue	Interest Rate	Principal	Interest	Total Principal and Interest
Gas Department					
2022	Gas System Revenue Bonds, Series 2019	2.00-5.00 %	$ 200,000	$ 190,838	$ 390,838
2023			210,000	180,838	390,838
2024			215,000	174,538	389,538
2025			225,000	168,088	393,088
2026			230,000	161,338	391,338
2027			240,000	149,838	389,838
2028			255,000	137,838	392,838
2029			265,000	125,088	390,088
2030			280,000	111,838	391,838
2031			290,000	100,638	390,638
2032			305,000	89,038	394,038
2033			315,000	76,838	391,838
2034			325,000	64,238	389,238
2035			335,000	54,488	389,488
2036			345,000	44,438	389,438
2037			355,000	34,088	389,088
2038			370,000	23,438	393,438
2039			380,000	11,875	391,875
			$ 5,140,000	$ 1,899,321	$ 7,039,321
2022	Total Business-Type Activities Requirements		$ 2,075,000	$ 1,340,498	$ 3,415,498
2023			2,145,000	1,256,749	3,401,749
2024			2,245,000	1,173,798	3,418,798
2025			2,345,000	1,086,899	3,431,899
2026			2,415,000	998,929	3,413,929
2027			2,500,000	913,736	3,413,736
2028			2,605,000	819,151	3,424,151
2029			2,700,000	719,824	3,419,824
2030			2,800,000	616,449	3,416,449
2031			2,535,000	501,145	3,036,145
2032			2,655,000	385,706	3,040,706
2033			2,775,000	264,485	3,039,485
2034			555,000	149,125	704,125
2035			575,000	127,876	702,876
2036			600,000	105,825	705,825
2037			620,000	82,726	702,726
2038			650,000	58,825	708,825
2039			670,000	33,263	703,263
2040			300,000	10,875	310,875
	Total Business-Type Activities - Long-Term Debt		$ 33,765,000	$ 10,645,884	$ 44,410,884

CITY OF GALLATIN, TENNESSEE

Schedule of Changes in Long-term Debt by Individual Issue

June 30, 2021

Description of Indebtedness	Original Amount of Issue	Interest Rate	Date of Issue	Last Maturity Date	Outstanding 7/1/2020	Issued During Period	Paid and/or Matured During Period	Refunded During Period	Outstanding 6/30/2021
Governmental Activities -									
BONDS PAYABLE									
Payable through General Fund									
General Obligation Improvement Bonds, Series 2014	$ 14,185,000	2.00-5.00%	8/18/2014	1/1/2034	$ 10,365,000	$ -	$ 910,000	$ -	$ 9,455,000
General Obligation Bonds, Series 2016	11,040,000	2.00-5.00%	1/20/2016	1/1/2036	9,185,000	-	485,000	-	8,700,000
General Obligation Bonds, Series 2021	9,725,000	2.00-5.00%	9/28/2011	1/1/2041	-	9,725,000	-	-	9,725,000
Total Governmental Activities					$ 19,550,000	$ 9,725,000	$ 1,395,000	$ -	$ 27,880,000
Business-Type Activities -									
BONDS PAYABLE									
Payable through Water and Sewer Division									
Water and Sewer Revenue Bonds, Series 2015	$ 25,000,000	3.00-5.00%	5/19/2015	7/1/2040	$ 20,420,000	$ -	$ 1,125,000	$ -	$ 19,295,000
Water and Sewer Revenue Bonds, Series 2014	14,185,000	2.00-5.00%	8/20/2014	7/1/2029	3,235,000	-	270,000	-	2,965,000
Water and Sewer Revenue Bonds, Series 2011	8,955,000	2.00-3.625%	12/28/2011	7/1/2032	6,795,000	-	430,000	-	6,365,000
Gas System Revenue Bonds, Series 2019	5,570,000	300-5.00%	4/9/2019	1/1/2039	5,330,000	-	190,000	-	5,140,000
Total Business-Type Activities					$ 35,780,000	$ -	$ 2,015,000	-	$ 33,765,000

CITY OF GALLATIN, TENNESSEE

Schedule of Electric Rates in Force (Unaudited)

June 30, 2021

Residential Rate:	
Customer Charge – per delivery point per month	$16.55
Energy charge:	
Per kWh per month	0.09039
General Power Rate:	
GSA (Demand 0-5,000 kW)	
Customer charge per month	$19.60
1. Less than 50 kW and not more than 15,000 kWh	
All kWh per kWh	0.10302
2. Between 51 and 1,000 kW with energy usage over 15,000 kWh	
Customer charge per month	$60.00
0 to 50 kW	No charge
More than 50 to 1,000 kW	$10.65
First 15,000 kWh per month	0.09560
Additional kWh per month	0.06486
3. Between 1,001 and 5,000 kW	
Customer charge per month	$200.00
0 to 1,000 kW	$10.70
More than 1,000 kW	$14.87
All kWh per kWh	0.06479
GSB (Demand from 5,001 to 15,000 kW)	
Customer charge per month	$1,500.00
Demand charge:	
Onpeak Demand	$10.87 per kW
Max Demand	$5.21 per kW
Offpeak Excess of Contract Demand	$10.87 per kW
Energy charge:	
Onpeak kWh	0.08165
Offpeak kWh First 200 HUD	0.05674
Offpeak kWh Next 200 HUD	0.02216
Additional HUD	0.01875

MSB	
Customer charge per month	$1,500.00
Demand charge:	
Onpeak Demand	$10.24 per kW
Max Demand	$2.26 per kW
Offpeak Excess of Contract Demand	$10.24 per kW
Energy charge:	
Onpeak kWh	0.07403
Offpeak kWh First 200 HUD	0.04903
Offpeak kWh Next 200 HUD	0.01934
MSD (Demand over 25,000 kW)	
Customer charge per month	$1,500.00
Demand charge:	
Onpeak Demand	$10.24 per kW
Max Demand	$1.64 per kW
Offpeak Excess of Contract Demand	$10.24 per kW
Energy charge:	
Onpeak kWh	0.07064
Offpeak kWh First 200 HUD	0.04563
Offpeak kWh next 200 HUD	0.01906
Additional HUD	0.01847
OUTDOOR LIGHTING (including pole)	
73 LED	$10.78
113 LED	15.69
100 Watt H.P.S.	9.05
150 Watt H.P.S.	11.99
175 Watt M.V.	9.43
250 Watt H.P.S.	14.96
400 Watt H.P.S.	18.98
Outdoor lighting kWh	0.06692

Number of Customers at Year End:

Residential	19,626
Commercial	3,187
Street and athletic fields	56
Individually billed outdoor lighting	30
	22,899

CITY OF GALLATIN, TENNESSEE

Schedule of Water and Sewer Rates in Force (Unaudited)

June 30, 2021

Water Department

Inside City Limits	
All customers	$11.92 for first 250 cubic feet
	$3.25 per 100 cubic feet in excess of 250 cubic feet
Outside City Limits	
All customers	$17.80 for first 250 cubic feet
	$4.88 per 100 cubic feet in excess of 250 cubic feet

Sewer Department

Inside City Limits	
All customers	$11.92 for first 250 cubic feet
	$3.25 per 100 cubic feet in excess of 250 cubic feet
Outside City Limits	
All customers	$17.80 for first 250 cubic feet
	$4.88 per 100 cubic feet in excess of 250 cubic feet

Number of Customers	
Water & Sewer	17,031

CITY OF GALLATIN, TENNESSEE

Schedule of Gas Rates in Force (Unaudited)

June 30, 2021

Residential and commercial - Inside City	
First 200 cubic	$3.50
All usage over 200 cubic feet, per ccf	0.87
Residential and commercial - Outside City	
First 200 cubic	$3.85
All usage over 200 cubic feet, per ccf	0.96
Industrial	
All usage, per ccf	$0.87
Preferred interruptible	
All usage, per ccf	$0.57
Interruptible	
First 100,000 cubic feet	$0.48
All usage over 100,000 cubic, per ccf	0.43

Number of Customers	
Residential	12,753
Commercial	856
Industrial	30
Interruptible	4
Total	13,643

CITY OF GALLATIN, TENNESSEE

Schedule of Unaccounted for Water (Unaudited)

Year Ended June 30, 2021

AWWA Free Water Audit Software: Reporting Worksheet

WAS v5.0

? Click to access definition
\+ Click to add a comment

Water Audit Report for: City of Gallatin (0000253)
Reporting Year: 2020 7/2020 - 6/2021

Please enter data in the white cells below. Where available, metered values should be used; if metered values are unavailable please estimate a value. Indicate your confidence in the accuracy of the input data by grading each component (n/a or 1-10) using the drop-down list to the left of the input cell. Hover the mouse over the cell to obtain a description of the grades

All volumes to be entered as: MILLION GALLONS (US) PER YEAR

To select the correct data grading for each input, determine the highest grade where the utility meets or exceeds all criteria for that grade and all grades below

<----------- Enter grading in column 'E' and 'J' ---------->

WATER SUPPLIED

Master Meter and Supply Error Adjustments

	Grade	Value	Units	Grade	Pcnt	Value	Units
Volume from own sources:	9	2,661.725	MG/Yr	4	1.00%		MG/Yr
Water imported:	n/a	0.000	MG/Yr				MG/Yr
Water exported:	9	433.514	MG/Yr	7	1.00%		MG/Yr
WATER SUPPLIED:		**2,206.150**	MG/Yr				

Enter negative % or value for under-registration
Enter positive % or value for over-registration

AUTHORIZED CONSUMPTION

	Grade	Value	Units	Pcnt	Value	Units
Billed metered:	10	1,498.680	MG/Yr			
Billed unmetered:	n/a	0.000	MG/Yr			
Unbilled metered:	10	63.680	MG/Yr			
Unbilled unmetered:		27.577	MG/Yr	1.25%		MG/Yr

Click here: ? for help using option buttons below

Default option selected for Unbilled unmetered - a grading of 5 is applied but not displayed

AUTHORIZED CONSUMPTION: **1,589.937** MG/Yr

Use buttons to select percentage of water supplied **OR** value

WATER LOSSES (Water Supplied - Authorized Consumption) **616.213** MG/Yr

Apparent Losses

	Grade	Value	Units	Pcnt	Value	Units
Unauthorized consumption:		5.515	MG/Yr	0.25%		MG/Yr

Default option selected for unauthorized consumption - a grading of 5 is applied but not displayed

	Grade	Value	Units	Pcnt	Value	Units
Customer metering inaccuracies:	9	15.781	MG/Yr	1.00%		MG/Yr
Systematic data handling errors:		3.747	MG/Yr	0.25%		MG/Yr

Default option selected for Systematic data handling errors - a grading of 5 is applied but not displayed

Apparent Losses: **25.043** MG/Yr

Real Losses (Current Annual Real Losses or CARL)

Real Losses = Water Losses - Apparent Losses: **591.169** MG/Yr

WATER LOSSES: **616.213** MG/Yr

NON-REVENUE WATER

NON-REVENUE WATER: **707.470** MG/Yr

= Water Losses + Unbilled Metered + Unbilled Unmetered

SYSTEM DATA

	Grade	Value	Units
Length of mains:	9	345.0	miles
Number of active AND inactive service connections:	10	17,326	
Service connection density:		50	conn./mile main
Are customer meters typically located at the curbstop or property line?		Yes	
Average length of customer service line:			(length of service line, beyond the property boundary, that is the responsibility of the utility)

Average length of customer service line has been set to zero and a data grading score of 10 has been applied

	Grade	Value	Units
Average operating pressure:	6	75.0	psi

COST DATA

	Grade	Value	Units
Total annual cost of operating water system:	10	$5,907,345	$/Year
Customer retail unit cost (applied to Apparent Losses):	10	$3.81	$/100 cubic feet (ccf)
Variable production cost (applied to Real Losses):	10	$236.19	$/Million gallons

☐ Use Customer Retail Unit Cost to value real losses

WATER AUDIT DATA VALIDITY SCORE:

*** YOUR SCORE IS: 89 out of 100 ***

A weighted scale for the components of consumption and water loss is included in the calculation of the Water Audit Data Validity Score

PRIORITY AREAS FOR ATTENTION:

Based on the information provided, audit accuracy can be improved by addressing the following components:

1: Volume from own sources
2: Unauthorized consumption
3: Systematic data handling errors

CITY OF GALLATIN, TENNESSEE

Schedule of Unaccounted for Water (Unaudited)

Year Ended June 30, 2021

AWWA Free Water Audit Software:
System Attributes and Performance Indicators

WAS v5.0

Water Audit Report for: City of Gallatin (0000253)
Reporting Year: 2020 | 7/2020 - 6/2021

*** YOUR WATER AUDIT DATA VALIDITY SCORE IS: 89 out of 100 ***

System Attributes:

	Apparent Losses:	25.043	MG/Yr
+	Real Losses:	591.169	MG/Yr
=	Water Losses:	616.213	MG/Yr
?	Unavoidable Annual Real Losses (UARL):	122.24	MG/Yr
	Annual cost of Apparent Losses:	$127,552	
	Annual cost of Real Losses:	$139,628	Valued at Variable Production Cost

Return to Reporting Worksheet to change this assumpiton

Performance Indicators:

Financial:	Non-revenue water as percent by volume of Water Supplied:	32.1%	
	Non-revenue water as percent by cost of operating system:	4.9%	Real Losses valued at Variable Production Cost
Operational Efficiency:	Apparent Losses per service connection per day:	3.96	gallons/connection/day
	Real Losses per service connection per day:	93.48	gallons/connection/day
	Real Losses per length of main per day*:	N/A	
	Real Losses per service connection per day per psi pressure:	1.25	gallons/connection/day/psi
	From Above, Real Losses = Current Annual Real Losses (CARL):	591.17	million gallons/year
	? Infrastructure Leakage Index (ILI) [CARL/UARL]:	4.84	

* This performance indicator applies for systems with a low service connection density of less than 32 service connections/mile of pipeline

STATISTICAL SECTION

This part of the City of Gallatin's annual comprehensive financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures, and required supplementary information says about the City's overall financial health.

Sources: Unless otherwise noted, the information in these schedules is derived from the annual comprehensive financial reports for the relevant year.

CITY OF GALLATIN, TENNESSEE

Financial Trend Information
Net Position by Component

Last Ten Fiscal Years
(accrual basis of accounting)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Governmental activities										
Net investment in capital assets	$ 42,147,155	$ 44,409,934	$ 48,317,805	$ 54,468,094	$ 58,836,309	$ 67,569,997	$ 75,402,931	$ 89,932,089	$ 108,846,455	$ 115,426,398
Restricted	100,024	568,020	615,631	535,180	593,324	1,205,180	1,298,730	1,325,054	1,512,468	3,067,694
Unrestricted	10,465,112	11,688,071	14,232,475	13,898,373	15,409,177	17,025,218.00	17,336,772	17,563,265	24,032,975	40,431,949
Total governmental activities net position	$ 52,712,291	$ 56,666,025	$ 63,165,911	$ 68,901,647	$ 74,838,810	$ 85,800,395	$ 94,038,433	$ 108,820,408	$ 134,391,898	$ 158,926,041
Business-type activities										
Net investment in capital assets	$ 99,420,067	$ 103,558,594	$ 107,506,931	$ 112,025,506	$ 119,097,460	$ 120,808,485	$ 127,605,680	$ 136,551,453	$ 142,206,982	$ 159,281,563
Restricted for Worker's Compensation Adjustment	7,425	7,473	7,522	7,572	7,621	7,648	7,675	7,702	7,729	195,257
Unrestricted	28,194,323	28,661,288	32,232,921	35,009,804	31,826,566	37,926,071	35,652,720	37,092,490	47,714,045	43,907,030
Total business-type activities net position	$ 127,621,815	$ 132,227,355	$ 139,747,374	$ 147,042,882	$ 150,931,647	$ 158,742,204	$ 163,266,075	$ 173,651,645	$ 189,928,756	$ 203,383,850
Primary Government										
Net investment in capital assets	$ 141,567,222	$ 147,968,528	$ 155,824,736	$ 166,493,600	$ 177,933,769	$ 188,378,482	$ 203,008,611	$ 226,483,542	$ 251,053,437	$ 274,707,961
Restricted	107,449	575,493	623,153	542,752	600,945	1,212,828	1,306,405	1,332,756	1,520,197	3,262,951
Unrestricted	38,659,435	40,349,359	46,465,396	48,908,177	47,235,743	54,951,289	52,989,492	54,655,755	71,747,020	84,338,979
Total primary government net position	$ 180,334,106	$ 188,893,380	$ 202,913,285	$ 215,944,529	$ 225,770,457	$ 244,542,599	$ 257,304,508	$ 282,472,053	$ 324,320,654	$ 362,309,891

CITY OF GALLATIN, TENNESSEE

Financial Trend Information
Changes in Net Position

Last Ten Fiscal Years
(accrual basis of accounting)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Governmental Activities										
Program Revenues:										
Charges for Services	$ 4,813,637	$ 4,075,988	$ 6,526,770	$ 5,538,642	$ 6,069,552	$ 7,418,973	$ 7,863,631	$ 8,356,873	$ 8,977,852	$ 10,289,687
Operating Grants and Contributions	948,083	1,109,040	1,527,429	1,234,427	1,064,123	1,275,976	1,865,673	2,616,883	2,923,203	2,421,030
Capital Grants and Contributions	1,465,557	3,975,532	3,533,738	10,285,239	4,790,834	8,921,557	6,010,371	12,308,868	20,335,480	12,482,796
General Revenues:										
Property Taxes	10,711,682	9,999,751	9,930,089	10,273,533	10,878,306	11,367,951	11,235,726	11,906,890	12,215,190	12,917,220
Sales Taxes	7,700,686	8,014,658	8,661,499	9,330,486	10,074,289	11,064,266	11,516,561	12,145,080	12,826,752	15,317,664
Franchise Taxes	379,020	360,650	385,802	421,534	448,730	466,766	468,690	487,103	465,305	507,514
Alcoholic Beverage Taxes	1,067,339	1,117,556	1,165,299	1,251,420	1,260,296	1,509,842	1,522,812	1,563,354	1,766,980	1,965,642
Business Taxes	668,252	639,646	680,446	756,560	818,811	936,708	949,546	1,014,325	1,127,484	1,404,790
Income Taxes	859,602	520,539	793,306	913,636	946,308	662,104	439,386	565,252	778,118	414,371
Other Sources	188,417	319,500	240,216	230,319	226,818	480,686	540,551	1,354,312	375,946	3,512,304
Unrestricted Interest Income	5,491	28,417	79,958	68,994	115,184	246,354	303,527	298,873	313,968	240,425
In Lieu of Taxes and Transfers	987,430	1,383,147	1,448,787	1,545,670	1,640,386	1,699,195	1,635,255	1,610,234	1,971,409	2,505,134
Total Revenues	$ 29,795,196	$ 31,544,424	$ 34,973,339	$ 41,850,460	$ 38,333,637	$ 46,050,378	$ 44,351,729	$ 54,228,047	$ 64,077,687	$ 63,978,577
Expenses										
General Government	$ 4,753,776	$ 5,070,240	$ 5,147,411	$ 6,432,191	$ 7,186,551	$ 7,930,678	$ 8,545,515	$ 10,194,485	$ 12,362,858	$ 9,568,230
Public Safety	11,090,606	11,626,014	11,778,255	12,139,618	12,701,861	14,842,150	14,939,109	15,685,627	15,280,509	17,489,772
Engineering	1,978,103	1,112,112	1,412,832	1,611,956	1,643,277	2,224,831	1,907,119	2,300,750	622,525	638,392
Environmental Services	1,744,131	1,637,569	1,779,918	1,682,507	1,701,497	1,788,412	2,109,615	2,194,040	2,796,681	3,125,244
Animal Control	119,396	108,023	113,487	123,665	-	-	-	-	-	-
Public Works	1,215,578	1,658,029	1,163,412	362,748	552,190	568,139	705,505	585,600	674,693	774,681
Highways, Streets, and Roadways	1,234,568	1,208,364	1,403,207	1,457,922	1,359,004	1,174,314	1,556,403	1,252,628	1,136,264	1,405,170
Vehicle Maintenance	404,846	403,696	420,964	418,068	459,858	549,748	562,563	612,519	617,315	589,459
Parks and Recreation	4,074,264	4,290,038	4,043,815	4,265,685	4,361,499	4,639,151	4,302,313	4,286,418	3,787,643	4,950,915
Economic Development	254,355	280,227	444,972	6,770,860	1,622,199	448,174	615,343	816,593	572,306	528,172
Tourism	-	-	-	-	-	-	-	123,052	57,039	-
Interest on Debt	472,734	433,883	481,455	653,094	808,538	923,196	765,919	702,384	598,364	374,399
Total Expenses	$ 27,342,357	$ 27,828,195	$ 28,189,728	$ 35,918,314	$ 32,396,474	$ 35,088,793	$ 36,009,404	$ 38,754,096	$ 38,506,197	$ 39,444,434
Change in Net Position	$ 2,452,839	$ 3,716,229	$ 6,783,611	$ 5,932,146	$ 5,937,163	$ 10,961,585	$ 8,342,325	$ 15,473,951	$ 25,571,490	$ 24,534,143

(continued)

CITY OF GALLATIN, TENNESSEE

Financial Trend Information
Changes in Net Position (continued)

Last Ten Fiscal Years
(accrual basis of accounting)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Business-Type Activities:										
Program Revenues:										
Charges for Services	$ 87,971,678	$ 91,501,059	$ 100,225,082	$ 98,670,740	$ 94,763,804	$ 99,131,412	$ 102,309,298	$ 104,274,429	$ 96,304,597	$ 95,741,011
Capital Grants and Contributions	675,644	1,152,932	2,317,854	1,485,205	2,490,314	3,508,042	5,623,904	4,907,752	10,898,190	6,341,397
General Revenues:										
Other Sources	9,359	2,603	487	-	10,000	147	-	-	-	105,925
Unrestricted Interest Income	146,100	121,102	95,539	108,911	142,192	134,055	197,243	229,021	328,769	316,711
Total Revenues	$ 88,802,781	$ 92,777,696	$ 102,638,962	$ 100,264,856	$ 97,406,310	$ 102,773,656	$ 108,130,445	$ 109,411,202	$ 107,531,556	$ 102,505,044
Expenses:										
Electric	$ 61,686,993	$ 63,093,670	$ 65,344,259	$ 65,953,465	$ 66,077,111	$ 68,658,346	$ 68,464,520	$ 70,565,030	$ 64,715,592	$ 61,466,937
Gas	13,002,653	12,848,397	16,443,781	14,620,277	12,360,729	12,817,606	13,482,880	13,612,534	14,208,176	12,390,484
Water & Sewer	11,256,106	10,846,942	11,170,248	10,769,977	12,582,400	11,787,952	13,115,652	13,321,850	10,525,253	13,300,552
In Lieu of Taxes - Transfer	987,430	1,383,147	1,448,787	1,545,670	1,640,386	1,699,195	1,635,255	1,610,234	1,805,424	1,891,977
Total Expenses	$ 86,933,182	$ 88,172,156	$ 94,407,075	$ 92,889,389	$ 92,660,626	$ 94,963,099	$ 96,698,307	$ 99,109,648	$ 91,254,445	$ 89,049,950
Change in Net Position	$ 1,869,599	$ 4,605,540	$ 8,231,887	$ 7,375,467	$ 4,745,684	$ 7,810,557	$ 11,432,138	$ 10,301,554	$ 16,277,111	$ 13,455,094
Total Change in Net Position	$ 4,322,438	$ 8,321,769	$ 15,015,498	$ 13,307,613	$ 10,682,847	$ 18,772,142	$ 19,774,463	$ 25,775,505	$ 41,848,601	$ 37,989,237

CITY OF GALLATIN, TENNESSEE

Financial Trend Information
Fund Balances of Governmental Funds

Last Ten Fiscal Years
(modified accrual basis of accounting)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Government Funds (Post-GASB 54)										
Nonspendable	$ 84,581	$ 105,468	$ 86,851	$ 173,269	$ 1,065,869	$ 1,612,302	$ 1,169,853	$ 674,250	$ 82,177	$ 85,469
Restricted	455,722	531,995	579,606	531,907	583,621	1,176,985	1,366,992	1,289,029	6,877,193	3,635,616
Committed	184,395	226,979	205,085	205,085	209,987	284,987	156,408	156,408	103,873	89,508
Assigned	2,122,761	1,915,974	2,734,115	8,011,003	16,335,657	12,626,737	11,899,028	7,400,387	58,712	11,822,630
Unassigned	7,922,642	8,689,632	11,455,850	13,232,920	16,180,042	17,730,397	17,248,650	16,287,472	18,722,398	29,343,786
Total	$ 10,770,101	$ 11,470,048	$ 15,061,507	$ 22,154,184	$ 34,375,176	$ 33,431,408	$ 31,840,931	$ 25,807,546	$ 25,844,353	$ 44,977,009

CITY OF GALLATIN, TENNESSEE

Financial Trend Information
Changes in Fund Balances of Governmental Funds

Last Ten Fiscal Years
(modified accrual basis of accounting)

	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Revenues -										
Taxes	$ 17,262,010	$ 17,768,774	$ 18,393,292	$ 18,988,744	$ 20,117,243	$ 21,677,227	$ 22,304,176	$ 23,082,274	$ 24,907,697	$ 28,148,675
Licenses and permits	315,602	402,533	467,638	760,459	1,093,853	2,187,478	2,542,185	2,146,030	2,279,208	3,247,237
Fines and forfeitures	1,479,913	884,878	2,556,501	1,051,142	983,427	922,423	785,160	737,197	691,541	673,966
Charges for services	2,993,059	2,849,243	3,481,559	3,739,436	3,984,098	4,302,069	4,534,678	5,476,634	6,005,756	6,285,822
Intergovernmental	5,742,786	6,696,213	8,668,804	14,007,953	10,457,840	6,616,702	6,717,563	10,628,819	14,437,262	16,201,370
Other	240,819	544,215	708,339	575,308	414,025	884,022	1,315,537	2,371,227	2,683,304	4,479,403
	$ 28,034,189	$ 29,145,856	$ 34,276,133	$ 39,123,042	$ 37,050,486	$ 36,589,921	$ 38,199,299	$ 44,442,181	$ 51,004,768	$ 59,036,473
Expenditures -										
General government	$ 4,443,691	$ 4,558,323	$ 4,825,287	$ 5,471,142	$ 5,932,888	$ 6,723,566	$ 7,609,102	$ 8,486,465	$ 7,687,329	$ 7,717,866
Public safety	10,760,468	10,770,629	11,452,818	11,707,728	12,181,199	14,122,444	14,447,340	15,118,065	15,439,576	15,764,227
Engineering	1,955,555	1,006,769	1,353,632	1,611,956	1,643,528	2,219,984	1,902,729	2,140,367	621,511	638,392
Environmental Services	1,586,909	1,525,929	1,641,126	1,704,725	1,707,426	1,788,412	1,921,514	1,993,528	2,783,382	2,819,961
Animal control	117,017	108,023	113,487	123,665	-	-	-	-	-	-
Public works	592,211	264,185	453,374	360,112	294,737	330,388	429,269	358,438	670,407	765,125
Highways and streets	1,154,834	1,100,961	1,374,830	1,254,942	1,227,048	1,168,778	1,559,615	1,248,681	1,137,622	1,045,433
Vehicle maintenance	402,507	399,019	418,626	418,068	496,426	551,334	558,653	558,341	614,540	585,193
Parks and recreation	3,731,027	3,597,451	3,763,086	3,936,723	4,014,097	4,309,104	4,292,539	4,258,583	3,786,654	4,188,436
Economic Development Agency	254,355	280,227	444,972	6,769,860	1,622,169	445,448	743,864	813,666	557,726	521,733
Tourism	-	-	-	-	-	-	-	123,052	57,039	-
Debt service										
Principal	800,000	835,000	860,000	1,385,000	1,205,000	1,754,475	1,839,745	1,795,000	1,355,000	1,395,000
Interest	458,795	431,901	403,564	245,373	572,156	892,232	862,768	808,775	738,850	796,360
Capital outlay	1,708,556	5,188,144	4,787,847	7,610,707	7,385,042	4,926,719	5,257,893	13,586,576	17,324,244	16,670,921
Total expenditures	$ 27,965,925	$ 30,066,561	$ 31,892,649	$ 42,600,001	$ 38,281,716	$ 39,232,884	$ 41,425,031	$ 51,289,537	$ 52,773,880	$ 52,908,647
Excess (deficiency) of revenues over (under) expenditures	$ 68,264	$ (920,705)	$ 2,383,484	$ (3,476,959)	$ (1,231,230)	$ (2,642,963)	$ (3,225,732)	$ (6,847,356)	$ (1,769,112)	$ 6,127,826
Other financing sources (uses) -										
Premium on bonds issued	$ -	$ -	$ -	$ 884,045	$ 1,163,285	$ -	$ -	$ -	$ -	$ 1,387,853
Proceeds of long-term debt	-	-	-	14,185,000	11,040,000	-	-	-	-	9,725,000
Bond issuance cost	-	-	-	(155,986)	(121,358)	-	-	-	-	-
Repayment from debt refunding	-	-	-	(6,098,495)	-	-	-	-	-	-
In lieu of tax payments from utility	987,430	1,383,147	1,448,787	1,545,670	1,640,386	1,699,195	1,635,255	1,610,234	1,805,919	1,891,977
Operating transfers in	1,994,252	2,866,662	2,183,420	-	-	-	-	-	-	-
Operating transfers out	(1,994,252)	(2,807,596)	(2,183,420)	-	-	-	-	-	-	-
Total other financing sources (uses)	$ 987,430	$ 1,442,213	$ 1,448,787	$ 10,360,234	$ 13,722,313	$ 1,699,195	$ 1,635,255	$ 1,610,234	$ 1,805,919	$ 13,004,830
Net change in fund balances	$ 1,055,694	$ 521,508	$ 3,832,271	$ 6,883,275	$ 12,491,083	$ (943,768)	$ (1,590,477)	$ (5,237,122)	$ 36,807	$ 19,132,656
Debt service as a percentage of noncapital expenditures	5.04%	5.37%	4.89%	4.89%	6.10%	8.36%	8.08%	7.42%	6.28%	6.44%

CITY OF GALLATIN, TENNESSEE

Revenue Capacity Information
Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Fiscal Years

	Appraised Value			
Tax Year	Total Taxable Assessed Value	Estimated Actual Taxable Value	Assessed Value as a Percentage of Actual Value	Total Direct Tax Rate*
2021	$ 1,639,821,530	$ 5,804,981,995	28.25%	$ 0.80
2020	1,568,403,152	5,505,851,345	28.49%	0.80
2019	1,379,876,000	5,345,047,430	25.82%	0.80
2018	1,085,548,889	3,758,217,774	28.88%	0.99
2017	1,063,378,081	3,688,978,706	28.83%	0.99
2016	1,030,640,007	3,498,839,903	29.46%	0.99
2015	970,755,253	3,050,696,936	31.82%	0.99
2014	973,251,111	3,032,204,783	32.10%	0.99
2013	955,038,384	2,982,691,390	32.02%	0.99
2012	953,603,939	3,148,310,625	30.29%	0.99

* Per $100 of assessed valuation.

Note - Property of the City is reappraised periodically. For this reason, appraised value is considered to actual value.
All information was pulled from the tax levies by the year noted.

CITY OF GALLATIN, TENNESSEE

Revenue Capacity Information
Principal Property Taxpayers - Current Year and Nine Years Ago

Taxpayer	2021 Assessed Valuation	2021 Percent of Total Valuation	2012 Assessed Valuation	2012 Percent of Total Valuation
Sumner Regional Medical Center	$ 89,208,300	5.44 %	$ 90,499,700	9.76 %
Revere At Hidden Creek LLC	62,333,700	3.80	-	-
GAP Inc.	52,583,300	3.21	76,300,000	8.23
Clayton Properties Group Inc.	43,620,510	2.66	-	-
Green Lea Prop LLC	42,785,200	2.61	-	-
Wellington Farms Apartments	37,142,900	2.27	25,499,400	2.75
SP RGA Stoneridge LP	36,696,400	2.24	-	-
KJPL Gallatin LLC	30,445,600	1.86	-	-
Sumner Regional Medical Center	21,961,829	1.34	23,058,200	2.49
Hoeganaes Corp.	14,005,793	0.85	12,224,809	1.32
MAA Brik	-	-	25,764,200	2.78
Stoneridge Farms	-	-	25,020,762	2.70
R.R. Donnelly & Sons Co	-	-	9,069,734	0.98
Isaacson/Steen Realty LLC	-	-	12,781,300	1.38
GAP Inc. and Subs Ent.	-	-	6,009,581	0.65
Total	$ 430,783,532	26.28 %	$ 306,227,686	33.04 %

Information was obtained from the property tax rolls for the years noted.

CITY OF GALLATIN, TENNESSEE

Revenue Capacity Information
Property Tax Levies and Collections - Last Ten Fiscal Years

Fiscal Year	Assessed Valuation	Total Tax Levy	Collected Within the Fiscal Year of Levy Amount	Percentage of Levy	Collections in Subsequent Years	Total Collections	Total Collections as Percentage of Total Levy
2021	$ 1,639,821,530	$ 12,831,276	$ 12,578,223	98.03%	$ -	$ 12,774,621	99.56%
2020	1,568,403,152	12,223,619	12,061,074	98.67%	66,710	12,127,784	99.22%
2019	1,379,876,000	11,052,748	10,962,352	99.18%	62,482	11,024,834	99.75%
2018	1,085,548,889	10,827,979	10,482,842	96.81%	104,110	10,586,952	97.77%
2017	1,063,378,081	10,619,974	10,151,671	95.59%	892,798	11,044,469	104.00%
2016	1,030,640,007	10,090,162	9,756,265	96.69%	368,379	10,124,644	100.34%
2015	970,755,253	9,610,494	9,447,813	98.31%	257,653	9,705,466	100.99%
2014	973,251,111	9,546,819	9,401,063	98.47%	343,744	9,744,807	102.07%
2013	955,038,384	9,413,801	9,146,352	97.16%	377,995	9,524,347	101.17%
2012	953,603,939	9,438,136	8,792,522	93.16%	281,952	9,074,474	96.15%

Assessed valuation amount was taken from the property tax levy for the year noted

CITY OF GALLATIN, TENNESSEE

Debt Capacity Information
Ratios of Outstanding Debt by Type - Last Ten Fiscal Years

Fiscal Year Ended June 30,	Population*	Per Capita Personal Income**	Governmental Activities: General Obligation Bonds	Governmental Activities: Notes	Governmental Activities: Total Governmental	Business-Type Activities: Revenue and Tax Bonds	Business-Type Activities: Notes	Business-Type Activities: Total Business-Type Activities	Total Primary Government	Debt per Capita	Percentage of Personal Income
2021	44,431	$ 32,996	$ 27,880,000	$ -	$ 27,880,000	$ 33,765,000	$ -	$ 33,765,000	$ 61,645,000	$ 1,387.43	4.20%
2020	42,918	30,203	19,550,000	-	19,550,000	35,780,000	-	35,780,000	55,330,000	1,289.20	4.27%
2019	40,457	28,945	20,905,000	-	20,905,000	37,795,000	-	37,795,000	58,700,000	1,450.92	5.01%
2018	37,351	26,544	22,240,000	549,745	22,789,745	33,955,000	-	33,955,000	56,744,745	1,519.23	5.72%
2017	35,734	26,450	24,805,000	1,310,000	26,115,000	37,560,000	57,667	37,617,667	63,732,667	1,783.53	6.74%
2016	34,473	26,708	14,570,000	1,710,000	16,280,000	38,890,000	219,944	39,109,944	55,389,944	1,606.76	6.02%
2015	33,347	26,596	6,985,000	2,090,000	9,075,000	33,185,000	382,221	33,567,221	42,642,221	1,278.74	4.81%
2014	32,307	25,534	7,480,000	2,455,000	9,935,000	34,465,000	544,498	35,009,498	44,944,498	1,391.17	5.45%
2013	31,414	22,963	7,960,000	2,810,000	10,770,000	35,705,000	706,775	36,411,775	47,181,775	1,501.93	6.54%
2012	30,278	23,465	8,420,000	3,150,000	11,570,000	31,125,000	744,902	31,869,902	43,439,902	1,434.70	6.11%

Note:
* Source for Population: U.S. Census Bureau
** Personal Income amounts were obtained from State estimates.

CITY OF GALLATIN, TENNESSEE

Debt Capacity Information
Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years

		Governmental Activities							
Fiscal Year	Population*	General Obligation Bonds	Notes	Total Governmental	Business-Type Activities Notes	Total Primary Government	Assessed Value	Ratio of General Obligation Debt to Assessed Value	Net General Obligation Debt Per Capita
2021	44,431	$ 27,880,000	$ -	$ 27,880,000	$ -	$ 27,880,000	$ 1,639,821,530	1.70%	$ 627.49
2020	42,918	19,550,000	-	19,550,000	-	19,550,000	1,568,403,152	1.25%	455.52
2019	40,457	20,905,000	-	20,905,000	-	20,905,000	1,379,876,000	1.51%	516.72
2018	37,351	22,240,000	549,745	22,789,745	-	22,789,745	1,085,548,889	2.10%	610.15
2017	35,734	24,805,000	1,310,000	26,115,000	57,667	26,172,667	1,063,378,081	2.46%	732.43
2016	34,473	14,570,000	1,710,000	16,280,000	219,944	16,499,944	1,030,640,007	1.60%	478.63
2015	33,347	6,985,000	2,090,000	9,075,000	382,221	9,457,221	970,755,253	0.97%	283.60
2014	32,307	7,480,000	2,455,000	9,935,000	544,498	10,479,498	973,251,111	1.08%	324.37
2013	31,414	7,960,000	2,810,000	10,770,000	706,775	11,476,775	955,038,384	1.20%	365.34
2012	30,278	8,420,000	3,150,000	11,570,000	744,902	12,314,902	955,603,939	1.29%	406.73

Note:
* Source for Population: U.S. Census Bureau

CITY OF GALLATIN, TENNESSEE

Debt Capacity Information
Pledged Revenue Coverage
Last Ten Fiscal Years

Fiscal Year	Utility Service Charges	Less: Operating Expenses	Net Revenues Available for Debt Service	Debt Service		Total	Percent of Coverage
				Principal	Interest		
2021	$ 31,047,874	$ 19,860,727	$ 11,187,147	$ 2,015,000	$ 1,410,424	$ 3,425,424	326.59%
2020	28,473,862	17,853,481	10,620,381	1,775,000	1,268,910	3,043,910	348.91%
2019	30,554,008	20,257,578	10,296,430	2,015,000	1,418,722	3,433,722	299.86%
2018	14,593,834	8,546,734	6,047,100	1,730,000	1,326,336	3,056,336	197.85%
2017	14,190,626	7,221,685	6,968,941	1,830,000	1,403,935	3,233,935	215.49%
2016	13,525,181	7,389,032	6,136,149	1,775,000	1,460,061	3,235,061	189.68%
2015	12,112,544	6,651,379	5,461,165	1,330,000	1,101,320	2,431,320	224.62%
2014	12,259,008	6,548,582	5,710,426	1,280,000	1,420,441	2,700,441	211.46%
2013	11,293,065	5,934,780	5,358,285	1,465,000	1,464,908	2,929,908	182.88%
2012	10,944,632	6,380,348	4,564,284	1,334,150	1,444,529	2,778,679	164.26%

Note: Details regarding the city's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5%) applied to the increase in retail sales in the Commons shopping area since the time.

CITY OF GALLATIN, TENNESSEE

Demographic and Economic Information
Demographic and Economic Statistics - Last Ten Fiscal Years

Fiscal Year	City Population *	County Population *	Personal Income **	Per Capita Personal Income**	Median Age*	County School Enrollment***	County Unemployment Rate****
2021	44,431	196,281	$ 59,745	$ 32,996	39.1	30,425	4.50%
2020	42,918	191,283	55,825	30,203	37.9	29,540	7.50%
2019	40,457	187,149	53,794	28,945	37.6	29,400	3.20%
2018	37,351	183,545	49,041	26,544	37.2	29,196	2.80%
2017	35,734	180,063	47,957	26,450	36.0	29,059	2.30%
2016	34,473	175,989	46,441	26,708	37.0	29,060	4.10%
2015	33,347	172,706	46,102	26,596	37.0	28,715	4.70%
2014	32,307	168,888	45,603	25,534	37.4	28,361	5.60%
2013	31,414	165,950	42,425	22,963	37.5	28,508	6.70%
2012	30,278	160,645	45,665	23,465	36.6	28,626	8.40%

*	U.S. Census Bureau
**	State Estimate
***	Sumner County School Board
****	Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

CITY OF GALLATIN, TENNESSEE

Demographic and Economic Information
Principal Employers - Current Year and Nine Years Ago

	2021			2012		
Employer	Employees	Rank	% of Total County Employment	Employees	Rank	% of Total County Employment
Sumner County Government & Schools	4,675		21.25%	3,750		33.19%
Gap, Inc.	2,859		13.00%	707		6.26%
Sumner Regional Medical Center	1,075		4.89%	943		8.35%
Yapp USA Automotive	800		3.64%	-		-
ABC Technologies	785		3.57%	-		-
Volunteer State Community College	765		3.48%	387		3.42%
City of Gallatin	614		2.79%	358		3.17%
ServPro Industries Corporate Headquarters	403		1.83%	312		2.76%
Salga Plastics	264		1.20%	-		-
Hoeganaes Corporation	232		1.05%	172		1.52%
Sumner County Government	-		-	500		4.42%
ABC Group Fuel Systems	-		-	303		2.68%
R. R. Donnelley & Sons Co	-		-	225		1.99%
			56.69%			67.76%

Source: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

CITY OF GALLATIN, TENNESSEE

Operating Information
Full-Time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years

Function/Program	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
General Government:										
Mayor's Office	3	3	3	3	3	3	3	3	3	3
Planning (Combined in 2010)	8	8	9	9	7	7	6	6	-	-
Finance	7	7	6	6	6	5	5	8	8	8
City Attorney	4	4	4	4	4	3	3	3	3	3
Recorder	6	6	6	7	6	6	6	7	7	7
Personnel	5	4	4	3	3	3	2	2	1	2
Codes	18	15	15	15	12	9	10	7	13	13
Economic Development Agency	3	3	3	3	3	3	2	2	2	2
Information Technology	8	8	7	7	7	6	5	-	-	-
Public Safety:										
Police	97	97	99	99	99	98	93	94	89	88
Fire	97	97	96	98	85	68	72	72	71	71
Public Works	49	52	48	50	47	48	47	49	48	49
Leisure Services	30	29	26	29	29	31	31	31	30	30
Engineering	10	9	9	8	7	6	7	6	6	6
Public Utilities	88	92	93	95	86	88	87	82	85	86
Golf Course	-	-	-	-	-	-	-	-	-	-
Total	433	434	428	436	404	384	379	372	366	368

Sources: PERSONNEL OFFICIAL

2012 numbers include 3 PPT employees. It does not include 9 unfilled positions (total authorized manning 377 as of 6/30/12).

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as of 6/30/13).

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as of 6/30/16).

2017 numbers include 4 PPT employees. It does not include 15 unfilled positions (total authorized manning as of 6/30/17).

CITY OF GALLATIN, TENNESSEE

Operating Information
Operating Indicators by Function/Program - Last Ten Fiscal Years

Function/Program	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Police										
Physical Arrests	2,985	3,571	3,802	3,718	3,805	3,803	3,575	3,772	4,913	4,526
Parking Violations	169	219	407	308	279	458	722	420	634	450
Traffic Violations	11,720	17,065	15,334	13,436	13,824	17,393	22,643	13,231	20,494	19,237
Red Light Camera Citations	5,109	3,828	6,345	6,211	7,386	9,054	7,751	7,029	5,953	7,188
Fire										
Emergency Responses	6,854	6,228	6,048	5,636	4,192	3,917	3,390	3,120	2,973	3,016
Fires Extinguished	132	115	122	113	133	144	94	120	105	110
Inspections	3,296	2,530	2,526	2,423	1,658	1,664	1,413	829	1,194	1,170
Animal Control										
Animals Restrained	288	346	519	487	576	622	N/A	388	491	786
Highways and Streets										
Street Resurfacing (miles)	5.16	6.64	5.20	6.00	3.31	4.60	5.75	4.50	5.60	7.60
Potholes Repaired	259	363	315	356	314	403	324	546	122	N/A
Other Public Works										
Utility Cuts Repaired	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Parks and Recreation										
Athletic Field Permits Issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community Center Admissions	150,000	150,000	270,000	270,000	270,000	240,000	240,000	230,000	230,000	230,000
Community Service										
Number of Organizations Benefitted	17	21	18	14	10	12	16	16	16	16
Number of Services Benefitted	3	3	3	3	5	6	4	4	4	4
Environmental Services										
Tons Hauled	18,599	17,625	16,432	16,171	16,142	12,224	11,413	11,376	11,588	10,145
Water										
New Connections	715	441	406	425	380	316	330	272	238	212
Water Main Breaks	31	45	46	37	37	37	38	40	32	36
Utility Cuts Repaired	54	123	83	145	100	139	138	175	142	142
Average Daily Consumption (in thousands of gallons)	7,293	7,774	7,110	7,316	6,052	6,171	5,865	5,944	5,948	6,246
Peak Daily Consumption (in thousands of gallons)	8,797	9,347	10,523	8,451	7,072	8,287	7,873	9,277	9,714	10,265
Sewer										
Average Daily Treatment (in thousands of gallons)	7,785	8,911	7,010	6,282	5,902	5,808	6,435	6,992	6,285	5,621
Electric										
Average Daily Consumption (in thousands of kilowatt hours)	2,163	2,020	2,237	2,254	2,244	2,194	2,186	2,184	2,176	2,164
Natural Gas										
Average Daily Consumption (in thousands of cubic feet)										
Summer - Apr/Oct	3,587	3,623	4,920	4,810	4,656	4,937	5,550	5,117	4,723	4,319
Winter - Nov/Mar	9,124	8,211	8,507	10,445	7,454	7,644	9,078	9,660	8,823	6,940
Golf										
Rounds Played	44,145	44,145	45,000	45,000	45,000	45,000	35,000	45,000	45,000	45,000

Sources: Various city departments
Notes: Indicators are not available for the general government function.

CITY OF GALLATIN, TENNESSEE

Operating Information
Capital Asset Statistics by Function/Program - Last Ten Fiscal Years

Function/Program	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone Offices	4	4	4	1	1	1	1	1	1	1
Patrol Units	80	96	96	91	79	78	76	73	64	77
Fire										
Stations	5	5	5	4	4	4	4	4	4	4
Fire Trucks	11	11	11	9	9	9	8	8	7	7
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	217.5	215.8	210.0	204.0	200.0	195.6	195.3	195.0	194.5	193.5
Streetlights	4,254	3,931	3,874	3,892	3,811	3,720	3,621	3,678	3,602	3,602
Traffic Signals	411	411	388	380	370	362	362	354	352	352
Sidewalks (miles)	93	90	78	67	58	47	46	45	44	42
Parks and Recreation										
Acreage	598	598	598	532	532	532	532	532	532	532
Playgrounds	5	5	5	5	5	4	4	4	4	4
Baseball/Softball Diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/Football Fields	8	8	8	8	8	8	8	8	8	8
Community Centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	13	13	14	14
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoes Pits	5	5	5	5	5	9	9	9	9	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	2	2	1	1	1	1	1	1	1	1
Walking Trail (miles)	8	8	8	8	8	8	8	8	5	5
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	24	24	24	23	22	22	20	21	20	19
Water										
Water Mains (miles)	337	335	331	320	316	313	312	311	308	307
Fire Hydrants	2,212	2,173	2,113	2,075	2,025	1,986	1,920	1,902	1,893	1,888
Storage Capacity (thousands of gallons)	15,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	32	25	16	16	12	13	12	15	15	20
Sewer										
Sewer Mains (miles)	264	257	254	244	240	236	234	233	231	220
Pump Stations	43	41	41	41	41	41	41	40	40	40
Natural Gas										
Gas Lines (miles)	398	394	389	385	382	380	376	368	363	361
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments
Note: No capital asset indicators are available for the general government.

INTERNAL CONTROL AND COMPLIANCE SECTION

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated January 25, 2022.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
January 25, 2022

BLANKENSHIP

Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control Over Compliance Required by the Uniform Guidance

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

We have audited the City of Gallatin, Tennessee (the City)'s compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2021. The City's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the City's compliance.

Opinion on Each Major Federal Program

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2021.

Report on Internal Control Over Compliance
Management of the City is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
January 25, 2022

City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2021

Section I. SUMMARY OF AUDITOR'S RESULTS

Financial Statements
Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified

Internal control over financial reporting:

Material weakness(es) identified?	____ Yes	X No
Significant deficiency(ies) identified?	____ Yes	X None Reported
Noncompliance material to financial statements noted?	____ Yes	X No

Federal Awards
Internal control over major programs:

Material weakness(es) identified?	____ Yes	X No
Significant deficiency(ies) identified?	____ Yes	X None Reported

Type of auditor's report issued on compliance for major federal programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with section 2 CFR 200.516(a)?	____ Yes	X No

Identification of major programs:

CFDA Number(s)	Name of Federal Program or Cluster
20.205	U.S. Department of Transportation/ Highway Planning and Construction Cluster
21.019	U.S. Department of the Treasury/ COVID-19 CARES Act Local Coronavirus Relief Funds

Dollar threshold used to distinguish between type A and type B programs: $750,000

Auditee qualified as low-risk auditee?	____ Yes	X No

Section II. FINANCIAL STATEMENT FINDINGS

None.

Section III. FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None.

City of Gallatin, Tennessee

Summary Schedule of Prior Audit Findings

June 30, 2021

I. Financial Statement Findings

Finding Number	Finding Title	Status
N/A	None	N/A

II. Federal Award Findings and Questioned Costs

Finding Number	Finding Title	Status
N/A	None	N/A

III. Compliance and Other Matters

Finding Number	Finding Title	Status
N/A	None	N/A